# UNIT I – Ethics

23AS2701a · Business Ethics & Corporate Governance (JNTUA R23)

## I. Introduction & Meaning of Ethics

- Word **Ethics** ← Greek **"ethos"** = character, custom, habit
- Branch of philosophy → studies **right vs wrong, good vs bad** conduct
- Gives **standards / principles** that guide human behaviour

> **Definition:** Ethics = set of moral principles & values that govern the conduct of an individual or group → "what ought to be done".

- Business context → ethics = applying moral standards to **business decisions**
- Core question: "Is it **legal**? Is it **fair**? Can I defend it publicly?"

### Ethics vs Morals vs Values vs Law

| Basis | Ethics | Morals | Values | Law |
|---|---|---|---|---|
| Source | Society, profession, org. | Individual conscience, religion, culture | Upbringing, experience | State / legislature |
| Nature | Rational, external rules | Personal, internal beliefs | Deep beliefs of worth | Written, codified |
| Enforced by | Codes, peer pressure | Guilt, conscience | Self | Courts, police, penalty |
| Example | Doctor's confidentiality | Honesty is right | Integrity, respect | Companies Act 2013 |

> ★ **Important**
> Law = **minimum** standard (what you MUST do); Ethics = **higher** standard (what you SHOULD do). Something legal can still be unethical (e.g. misleading but legal ads).




Fig 1: Relationship between Ethics and Law (law is a subset of ethical expectations)

## 2. Nature of Ethics

- **Normative** science → tells how people ought to behave
- **Human-centric** → applies only to conscious, free choice
- **Universal** core (honesty, justice) but **relative** in details across cultures
- **Dynamic** → changes with time/society (e.g. child labour, environment)
- **Voluntary** → self-regulated, not forced by state
- **Relates to values** → based on social & moral values
- **Multi-disciplinary** → philosophy, law, psychology, religion
- **Practical** → guides everyday decisions; both **individual & group**
- Benefits **all stakeholders** → long-term perspective

## 3. Scope of Ethics

- **Personal life** → family, friends, honesty
- **Professional life** → doctors, lawyers, CAs, engineers
- **Business** → marketing, finance, HR, production, operations
- **Society** → environment, human rights, justice, poverty
- **Government / politics** → corruption, transparency
- **Science & technology** → AI, data privacy, cloning, bioethics
- **Media** → fake news, paid news, advertising

### Scope in functional areas of business

| Area | Ethical concerns |
|---|---|
| Marketing | False ads, unsafe products, pricing, privacy |
| Finance | Insider trading, window-dressing, fraud (Satyam 2009) |
| HR | Discrimination, harassment, fair wages, privacy |
| Production | Quality, safety, pollution, child labour |
| IT / Data | Data breach, surveillance, copyright |

## 4. Significance (Importance) of Ethics

- Builds **reputation & brand image** → long-term goodwill
- Wins **customer trust & loyalty** → repeat sales
- **Attracts & retains talent** → morale, low attrition
- Attracts **investors** → better governance = lower risk
- **Avoids legal penalties**, scandals, litigation costs
- Better **decision-making** → clear guidelines for dilemmas
- Protects **society & environment** → sustainability
- Creates healthy **competition** & trust in markets
- **Ethics pays** → "Honesty is the best policy" in long run

**Mnemonic – "TRUST":** Trust · Reputation · Understanding of law · Sustainability · Talent retention

## 5. Loyalty and Ethical Behaviour

- **Loyalty** = faithful commitment / allegiance to a person, group, organisation or cause
- Shown by: dedication, confidentiality, putting org interest above personal gain
- Loyalty is a **virtue** only when it is **consistent with ethics**

### Types / Objects of loyalty

| Loyalty to | Meaning / duty |
|---|---|
| Employer | Work sincerely, protect trade secrets, avoid conflict of interest |
| Profession | Follow professional code (ICAI, ICSI, Bar Council) |
| Customers | Fair price, quality, honest information |
| Colleagues / team | Cooperation, no backstabbing |
| Society | Law, environment, public safety |

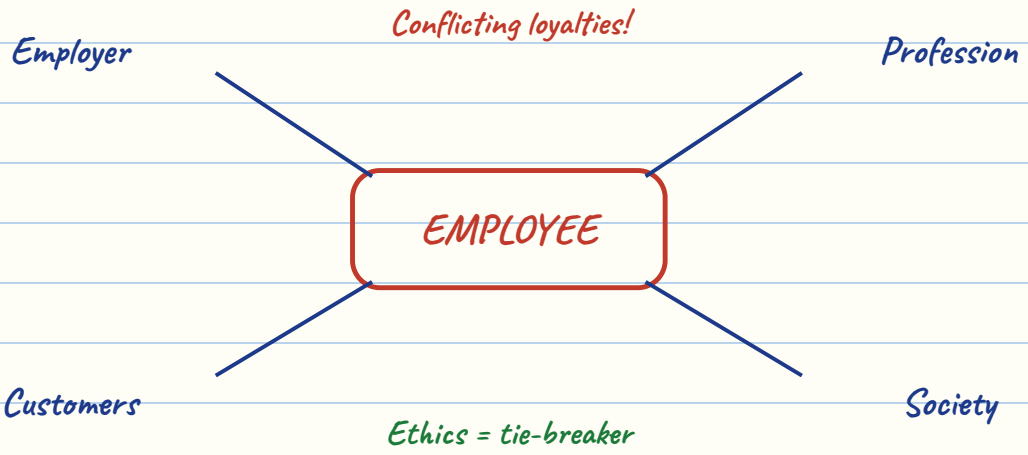



Fig 2: Multiple loyalties & the ethical conflict

## Conflict between loyalty & ethics

- Employer asks to hide defects / bribe officials → **loyalty vs honesty**
- Org harms environment → **loyalty vs social duty**
- Blind loyalty ("yes-man") → groupthink, scandals (Enron, Satyam)
- Resolution → loyalty to **principles > persons**; use internal channels first

## Whistle-blowing

- **Whistle-blowing** = employee discloses illegal/unethical practices of org to authorities/public
- Types: **Internal** (to management) · **External** (regulator, media)
- Indian law: **Whistle Blowers Protection Act 2014**; Sec 177 Companies Act 2013 (vigil mechanism); SEBI LODR Reg. 22
- Example: **Sanjiv Chaturvedi** (AIIMS), **Satyendra Dubey** (NHAI, killed 2003), Edward Snowden
- Guidelines → good faith, evidence, follow chain, protect identity

> ★ Important
> Whistle-blowing = ethical **duty** when harm is serious & internal route fails; protects public interest over narrow loyalty.

## Ethical behaviour – traits

- **Honesty & integrity** – truthful words = deeds
- **Fairness & justice** – equal treatment, no bias
- **Accountability & responsibility** – own the outcome
- **Respect** for people, **transparency**, **confidentiality**
- **Compassion, courage, law-abiding, trustworthiness**
- Test → **Newspaper test**: would I be OK if this appeared on the front page?

# 6. Value Systems

- **Values** = enduring beliefs that a specific mode of conduct / end-state is preferable (Rokeach)
- **Value system** = ranking of values by importance → guides choices, attitudes, behaviour

## Sources of values

- Family & parents · Religion · Culture/tradition · Education · Peers · Media · Role models · Work experience · Law

## Rokeach Value Survey (1973) – 36 values

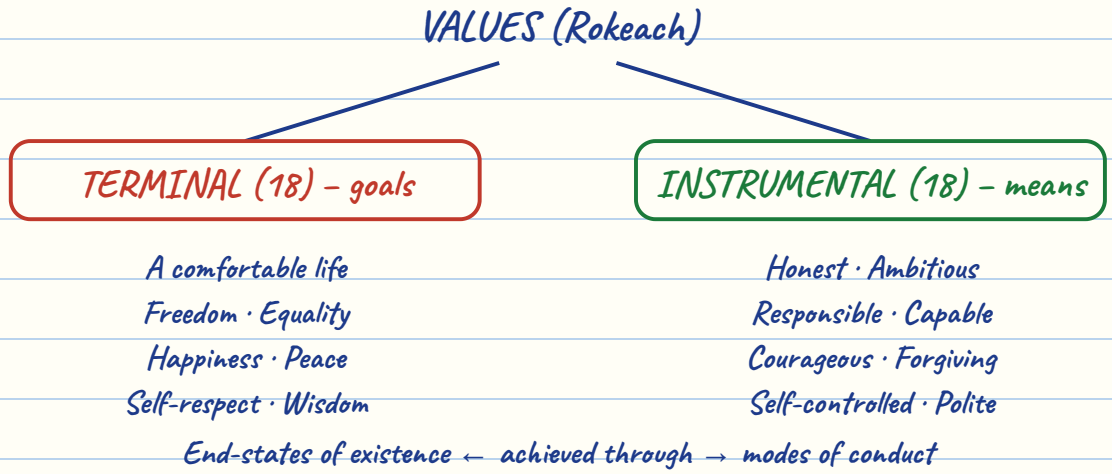



Fig 3: Terminal vs Instrumental values

| Terminal values | Instrumental values |
|---|---|
| Desirable **end-states** (goals in life) | Preferable **modes of behaviour** (means) |
| Personal & social: peace, freedom | Moral & competence: honest, capable |

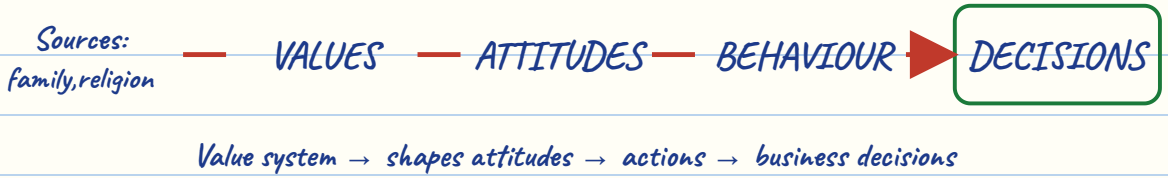



Fig 4: Value system chain

- Other classification: **Allport** – theoretical, economic, aesthetic, social, political, religious
- Indian values: **Satya, Dharma, Ahimsa, Seva, Nishkama karma** (Gita) · Gandhi's **"seven social sins"** incl. "commerce without morality"
- Organisational values: customer focus, integrity, innovation, teamwork, quality (e.g. Tata: "Leadership with Trust")

# 7. Business Ethics

**Definition:** Business ethics = application of moral principles & standards to **business behaviour, policies and decisions**, ensuring fairness to all stakeholders.
Velasquez: study of moral standards and how they apply to business institutions & people in them.

- Concerned with: honesty in dealing, fair trade, no exploitation, product safety, accountability
- Stakeholders → owners, employees, customers, suppliers, govt, society, environment

### Characteristics of business ethics

- **Code of conduct** – written / unwritten standards
- **Based on moral values**, not just profit
- **Voluntary** · beyond law (self-discipline)
- **Protects stakeholders**; balances conflicting interests
- **Relative** (varies by society) & **dynamic**
- **Long-term orientation**; **applies at all levels** (top to bottom)
- Reflects **organisational culture**; needs **education & training**

## 8. Types of Ethics

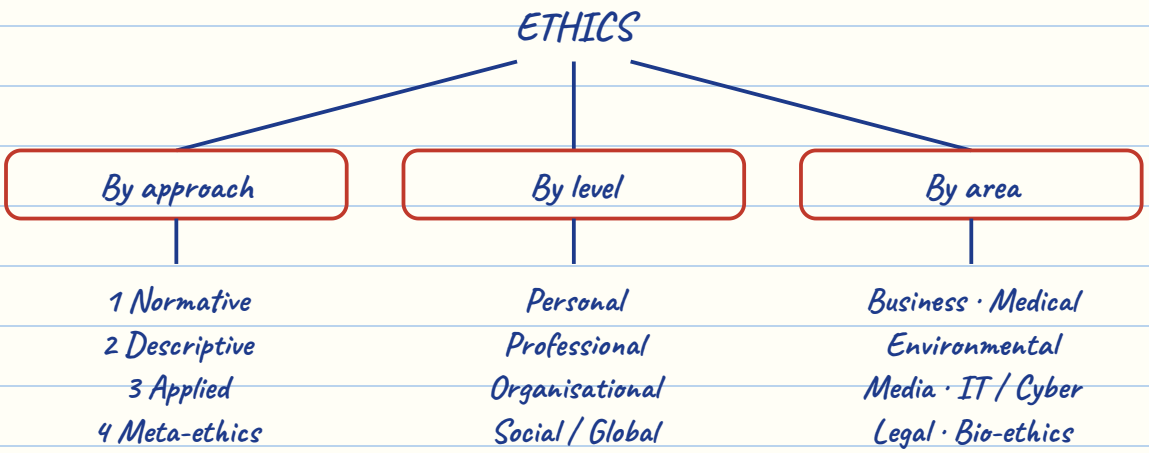



Fig 5: Types of ethics (classification)

### A. By approach

| Type | Meaning |
|---|---|
| Normative | Sets norms: what SHOULD be done. Theories: utilitarian, deontological (Kant), virtue, justice |
| Descriptive | Describes what people actually believe/do (empirical, sociology) |
| Applied | Applies theory to specific issues: business, medical, environment |
| Meta-ethics | Nature of "good", "right" – meaning of moral terms |

### B. By level

- **Personal ethics** → individual's own morals, conscience
- **Professional ethics** → code of a profession (doctor – Hippocratic oath; CA – ICAI code)
- **Organisational / corporate ethics** → company's values, code & policies
- **Social ethics** → community norms: justice, equality, human rights

### Major ethical theories (normative)

| Theory | Idea | Judges by |
|---|---|---|
| Utilitarianism (Bentham, Mill) | Greatest good for greatest number | Consequences |
| Deontology (Kant) | Duty & rules, categorical imperative | Intent / duty |
| Virtue ethics (Aristotle) | Character – courage, honesty | Character |
| Justice (Rawls) | Fairness, protect the least advantaged | Fair distribution |
| Rights theory (Locke) | Respect human rights | Rights |

## 9. Factors Influencing Business Ethics

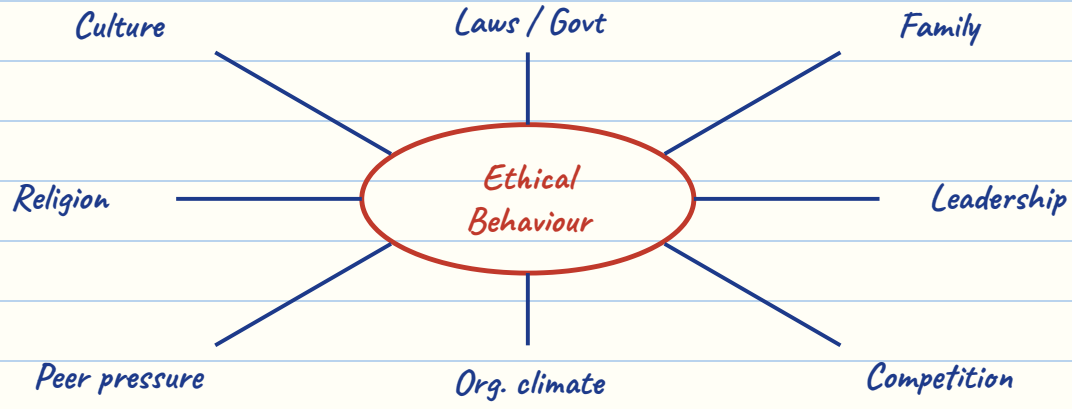



Fig 6: Factors influencing ethical behaviour

- **Culture & society** → norms, gift-giving, tolerance of corruption
- **Laws & regulation** → set minimum standards, fear of penalty
- **Family & upbringing** → early moral formation
- **Religion & education** → values, conscience
- **Leadership / top management** → "tone at the top" (most powerful)
- **Peer pressure** → colleagues' behaviour, groupthink
- **Organisational climate / culture** → reward system, code, whistle-blower support
- **Competition & profit pressure** → unrealistic targets push shortcuts
- Also: individual personality, moral development (Kohlberg), media, technology

★ *Important*

Kohlberg's 3 levels: **Pre-conventional** (reward/punishment) → **Conventional** (rules, social approval) → **Post-conventional** (universal principles).

## 10. Contradictions & Dilemmas in Business Ethics

- **Ethical dilemma** = situation with two/more choices, each with ethical costs
- **Profit vs ethics** → "business of business is business" (Friedman) vs stakeholder view
- **Short-term gain vs long-term goodwill**
- **Loyalty vs honesty** (employer vs public interest)
- **Ethical relativism** → "when in Rome do as Romans do" – bribe/gift norms differ by country vs **universalism** – same rules everywhere
- **Law vs ethics** → legal but harmful (tobacco, tax avoidance)
- **Competition vs fairness** → predatory pricing, copying
- **Efficiency vs employee welfare** → layoffs, automation
- **Employee privacy vs monitoring**

### Arguments FOR & AGAINST business ethics

| FOR (ethics pays) | AGAINST (criticisms) |
|---|---|
| Builds goodwill & loyalty | Business is for profit only (Milton Friedman) |
| Avoids legal trouble | Law is enough; ethics is vague / subjective |
| Attracts talent & investors | Costs money; competitors unethical gain edge |
| Social licence to operate | Managers not trained to judge morality |
| Prevents govt regulation | Ethics differ across cultures (relativism) |

## 11. Ethical Practices in Management

- **Code of ethics / conduct** – written statement of values & do's/don'ts
- **Ethics committee / officer** – oversees compliance, advises
- **Ethics training** & awareness for all levels
- **Top management commitment** – lead by example
- **Whistle-blower policy / ethics hotline** – anonymous reporting (Sec 177)
- **Ethics audit** – periodic review of compliance
- **Fair HR practices** – recruitment, appraisal, grievance redressal
- **Transparent disclosures** – financial & non-financial; BRSR reporting
- **Stakeholder engagement**, supplier code, anti-bribery policy
- **Reward ethical conduct; punish violations** consistently

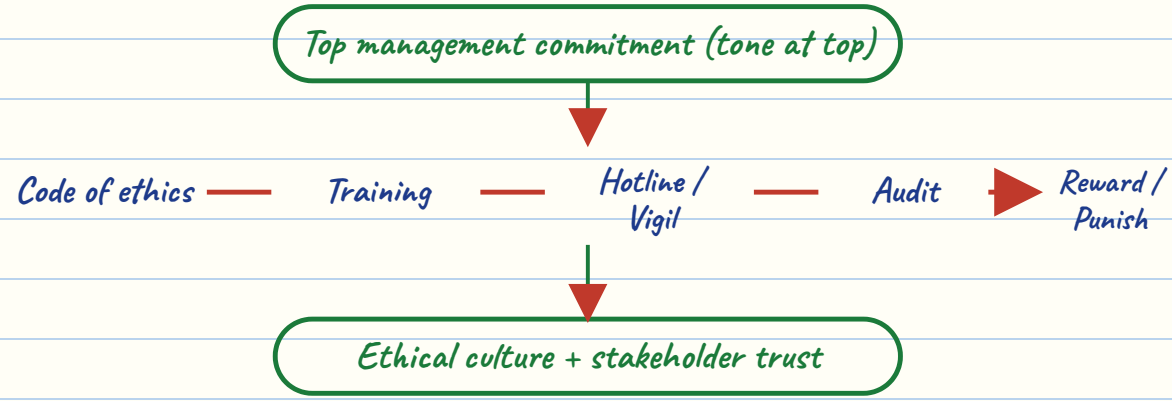



Fig 7: Institutionalising ethics in an organisation

## 12. Corporate Social Responsibility (CSR)

**CSR** = continuing commitment by business to behave ethically & contribute to economic development while improving quality of life of workforce, community & society (WBCSD).

- Concept: **Howard Bowen** (1953) "Social Responsibilities of the Businessman"; **Carnegie** – stewardship
- Views: **Classical** (Friedman – profit only) vs **Socio-economic** (Keith Davis – "iron law of responsibility")
- Principles → accountability, transparency, ethical behaviour, respect for stakeholders & law

## Carroll's CSR Pyramid (1991)

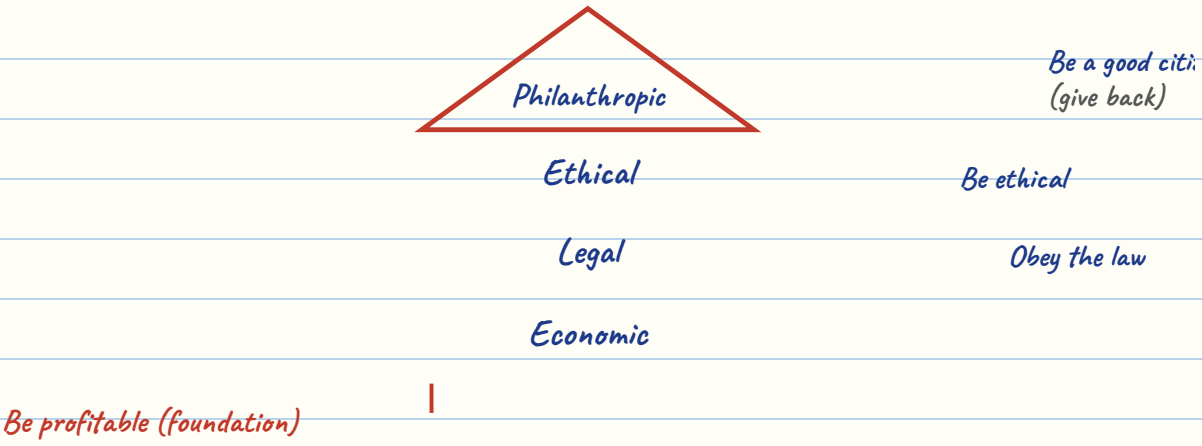



Fig 8: Carroll's pyramid – Economic (base) → Legal → Ethical → Philanthropic (top)

- Economic = required · Legal = required · Ethical = expected · Philanthropic = desired

## Triple Bottom Line (Elkington, 1994) – 3 P's

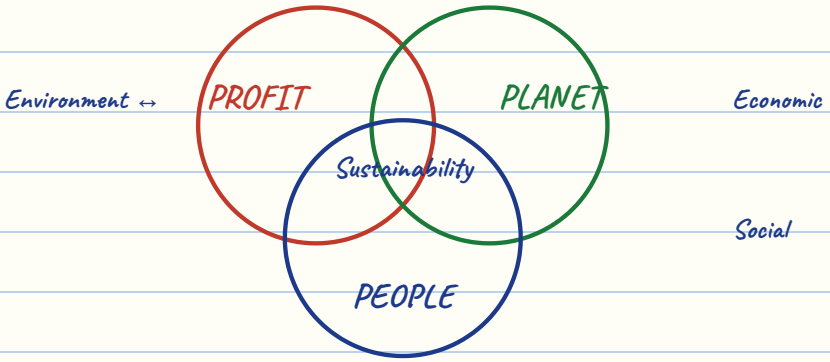



Fig 9: Triple Bottom Line

## CSR under Companies Act 2013 – Section 135

★ Important

- Applies to company having (in **immediately preceding FY**) ANY ONE of:
  - **Net worth ≥ Rs 500 crore**
  - OR **Turnover ≥ Rs 1000 crore**
  - OR **Net profit ≥ Rs 5 crore**
- Spend **at least 2%** of **average net profit of preceding 3 financial years**
- Constitute **CSR Committee** of Board (≥3 directors, incl. ≥1 independent; unlisted/ private co. with 2 directors permitted)
- Board approves **CSR policy**, annual action plan; discloses in Board's report
- Unspent amount → transfer to **Unspent CSR Account** (ongoing projects, within 30 days / spend in 3 yrs) or **Fund in Schedule VII** (e.g. PM CARES) – 2021 amendment
- Effective **1 April 2014**; India = first country to mandate CSR by law

### Schedule VII – activities (key areas)

- Eradicating **hunger, poverty, malnutrition**; health care, sanitation, safe drinking water
- **Education**, skill development, vocational training
- **Gender equality**, women empowerment, old-age homes
- **Environmental sustainability**, animal welfare, conservation
- Protection of **heritage, art & culture**; armed forces veterans; sports training
- Contribution to **PM National Relief Fund / PM CARES**; technology incubators; rural development; slum area development; disaster management

### Examples of CSR

| Company | CSR initiative |
|---|---|
| Tata Group | Tata Trusts (~66% of Tata Sons owned by trusts); education, health, Jamshedpur; Tata Relief during 26/11, COVID |
| Infosys Foundation | Sudha Murty – libraries, healthcare, orphanages, flood relief |
| ITC | e-Choupal, watershed, "carbon positive" |
| Wipro / Azim Premji | Education (Azim Premji Foundation) |
| Reliance Foundation | Health, rural transformation, disaster response |

### Benefits & criticism of CSR

| Advantages | Limitations |
|---|---|
| Brand image, goodwill | Seen as "tax" / compliance box-ticking |
| Employee pride, retention | Greenwashing, tokenism |
| Community development | Cost burden on small firms; shareholders' money |
| Risk reduction, investor appeal | Impact hard to measure; clustering in few states |

## 13. Issues of Management (Ethical Issues)

| Issue | Meaning / example |
|---|---|
| **Bribery & corruption** | Offering/taking gifts to influence decision; Prevention of Corruption Act 1988; US FCPA 1977; UK Bribery Act 2010 |
| **Insider trading** | Trading on unpublished price-sensitive info (UPSI); SEBI PIT Regulations 2015 |
| **Discrimination & harassment** | Gender, caste, religion; POSH Act 2013 (sexual harassment at workplace) |
| **Environmental damage** | Pollution, waste dumping; Environment Protection Act 1986 |
| **Consumer exploitation** | Misleading ads, adulteration, unsafe goods; Consumer Protection Act 2019 |
| **Conflict of interest** | Personal gain vs duty (related-party deals) |
| **Accounting fraud** | Window dressing – Satyam 2009 (Rs 7,000 cr), Enron 2001 |
| **Whistle-blower retaliation** | Victimising employees who report |
| **Child labour / unfair wages** | Sweatshops; Child Labour Act |
| **Data privacy** | Misuse of customer data; DPDP Act 2023 |

- Also: unfair trade practices, tax evasion, plagiarism / IPR theft, product dumping, ghost employees
- Managers' dilemma → targets vs ethics; **solution** = code, culture, controls, consequences

## Ethical decision-making model

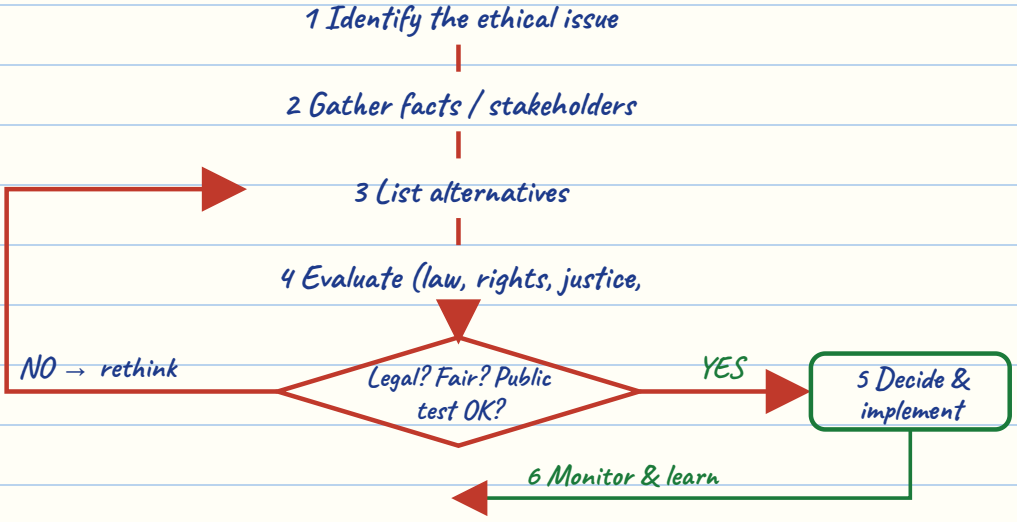



Fig 10: Ethical decision-making flowchart (step 4 – evaluate by utilitarian, rights, justice tests)

- Quick tests: **Legal test · Utility test · Publicity test · Golden-rule test** · "Would I be comfortable if my mother read it?"

# 14. Crisis Management

**Crisis** = sudden, unexpected event that threatens the organisation's survival, reputation, stakeholders. **Crisis management** = process of identifying, preventing, responding to & recovering from a crisis to minimise damage.

- Features: surprise · threat to goals · short response time · high stress · media glare

## Types of crises

| Type | Examples |
|---|---|
| Natural | Earthquake, flood, cyclone, pandemic |
| Technological / Industrial | Gas leak, fire, cyber attack, system failure |
| Product / Quality | Contamination, recall |
| Financial | Fraud, bankruptcy, stock crash |
| Human / Organisational | Strike, lockout, CEO misconduct, harassment |
| Reputational / Social media | Viral boycott, rumours |
| Confrontation / Malevolence | Terror, tampering, sabotage |

## Phases of crisis management

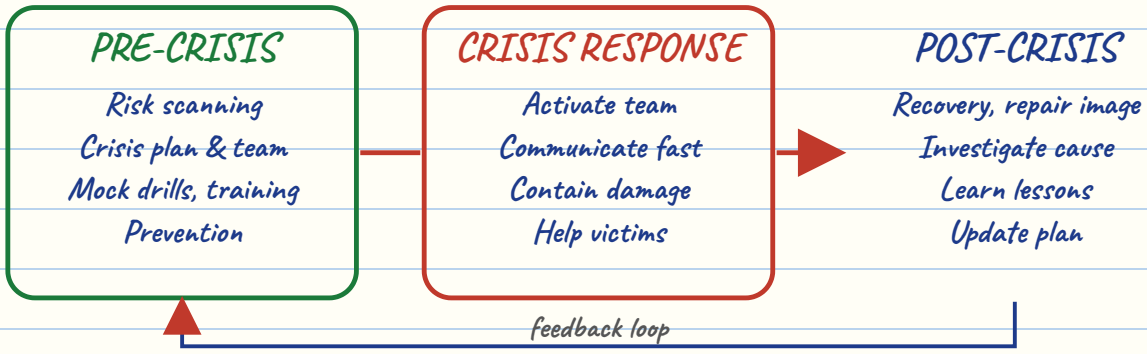



Fig 11: Three phases (cycle) of crisis management

## Crisis Management Team (CMT) & steps

- CMT = CEO/leader, PR/spokesperson, legal, HR, operations, finance, security, IT
- **Steps:** 1 Detect early warning signals → 2 Form CMT → 3 Assess situation → 4 Contain/control → 5 Communicate (internal + media, one voice, honest) → 6 Resolve → 7 Recover → 8 Review & learn
- Principles: **speed, honesty, empathy, responsibility, single spokesperson**

### Case examples

| Case | What happened | Lesson |
|---|---|---|
| **Tylenol (J&J), 1982** | Cyanide-laced capsules killed 7 in Chicago; J&J recalled ~31 million bottles at once, tamper-proof packaging introduced | Gold standard: put public safety first, transparent |
| **Union Carbide, Bhopal 1984** | MIC gas leak (2-3 Dec) → thousands died; poor safety, delay, blame game; settlement US$470 mn (1989) | Safety neglect, poor crisis plan = disaster |
| **Nestlé Maggi, 2015** | FSSAI banned Maggi (lead, MSG claims); Nestlé recalled ~38,000 tonnes, relaunched Nov 2015 | Quick recall & relaunch regained share; slow initial response hurt |
| **Volkswagen, 2015** | "Dieselgate" – software cheat device in ~11 mn diesel cars to fake emission tests; huge fines (>US$30 bn), CEO Winterkorn resigned | Deliberate unethical act = reputational & financial crash |

★ *Important*

Examiners love comparing: **Tylenol (well handled)** vs **Bhopal (poorly handled)**. Always give 2-3 lines of cause, response, outcome, lesson.

## 15. Quick Revision & Likely Exam Questions

### Key points to remember

- Ethics ← Greek **ethos**; Law = minimum, Ethics = higher
- Rokeach: **18 terminal + 18 instrumental** = 36 values
- Carroll's pyramid (1991): **Economic → Legal → Ethical → Philanthropic**
- Sec 135: **500 cr NW / 1000 cr TO / 5 cr NP**; **2% of 3-yr avg net profit**; CSR Committee
- Triple bottom line = **People-Planet-Profit** (Elkington 1994)
- Crisis phases: **Pre-crisis → Response → Post-crisis**
- Cases: Tylenol 1982 · Bhopal 1984 · Maggi 2015 · VW 2015

### 2-mark questions

1. Define ethics. 2. Distinguish ethics and morals. 3. What is whistle-blowing?
2. Terminal vs instrumental values. 5. Define business ethics. 6. What is an ethical dilemma?
3. State CSR threshold under Sec 135. 8. What is triple bottom line? 9. Define crisis.

## 5-mark questions

1. Explain the nature and scope of ethics.
2. Significance of business ethics.
3. Loyalty vs ethical behaviour – conflicts.
4. Factors influencing business ethics.
5. Arguments for and against business ethics.
6. Carroll's CSR pyramid. 7. Phases of crisis management.

## 10-mark questions

1. Define business ethics; explain types, characteristics and factors influencing it.
2. Explain value systems; discuss Rokeach classification and sources of values.
3. Discuss ethical practices in management and issues faced by managers; give examples.
4. Explain CSR with Sec 135 provisions, Schedule VII and examples.
5. What is crisis management? Explain types, phases & discuss Tylenol and Bhopal cases.

**Last-minute tip:** Start every answer with a definition → give classification/diagram → add Indian example → close with a one-line conclusion. Draw at least one diagram in 10-markers!

# UNIT II – Ethics in Management

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

## 1. Introduction

**Ethics in management** = applying moral principles (right/wrong, fair/unfair) to **managerial decisions** in every functional area – production, finance, HR, marketing.

- Manager's decisions affect → **stakeholders**: owners, employees, customers, suppliers, govt, society
- Law = **minimum** standard; Ethics = **higher** standard (legal ≠ always ethical)
- Unethical act → fines, lawsuits, loss of brand, loss of trust (Satyam, VW, Boeing)
- Ethical firm → trust, loyalty, talent, investor confidence, long-term profit




Fig 1: Areas of ethics in management

## 2. Ethics in Production / Operations Management

- **Product safety** – product must not harm user; test before launch; recall if defective
- **Quality** – no cheating on specs / materials; honest quality certification (ISO, BIS)
- **Pollution & environment** – safe effluent/waste disposal; emission norms; sustainable use of resources

- **Planned obsolescence** – deliberately making a product fail/outdated early to force repurchase (phones, printers) → questionable
- **Labour conditions** – safe workplace, no child/forced labour, working hours, wages (Factories Act 1948)
- **Honest cost & supply chain** – no sweatshop suppliers, no bribery in purchasing

### Classic cases

| Case | What happened | Ethical lesson |
|---|---|---|
| **Ford Pinto** (1970s, USA) | Fuel tank placed badly → fires in rear collisions; Ford knew, did cost-benefit (fix ≈ $11/car vs payout) and delayed fix | Profit over life; cost-benefit cannot price human life |
| **Bhopal gas tragedy** (Dec 1984) | MIC leak from Union Carbide plant; thousands died; safety systems off, cost cutting, poor maintenance | Safety neglect; corporate responsibility; led to Environment Protection Act 1986 |
| **Volkswagen "Dieselgate"** (2015) | Defeat-device software cheated NOx emission tests in ~11 million diesel cars | Deception of regulators & customers; huge fines, CEO resigned |

## 3. Ethics in Finance

- **Insider trading** – trading shares using **unpublished price-sensitive information** (UPSI); banned by **SEBI (PIT) Regulations 2015**
- **Window dressing** – making financial statements look better than reality just before the balance-sheet date (temporary loans, shifting sales)
- **Creative accounting** – bending accounting rules to show desired profit (fake revenue, hiding debt, off-balance-sheet items)
- **Misuse of funds** – diverting company/public money for personal use; related-party transfers; round-tripping
- **Ethical investing (SRI / ESG)** – invest only in firms that are environment-friendly, socially responsible, well governed; avoid tobacco, arms, etc.
- Also: false prospectus, price rigging, money laundering, tax evasion vs **tax planning** (legal)

| Scam | Year | Nature of unethical act |
|---|---|---|
| **Harshad Mehta** | 1992 | Used bank receipts (BRs) & inter-bank funds to rig stock prices; Sensex crash; led to SEBI Act 1992 strengthening |
| **Satyam** (Ramalinga Raju) | 2009 | Inflated cash/profit ≈ ₹7,000 cr; "India's Enron"; led to tighter audit & governance (Companies Act 2013) |
| **Nirav Modi–PNB** | 2018 | Fraudulent Letters of Undertaking (LoUs) via SWIFT, ≈ ₹14,000 cr; weak internal controls, collusion of staff |

★ *Important*

Finance ethics keywords: **Honesty, Transparency, Fiduciary duty, No UPSI misuse, True & fair view.** Mnemonic: **I-W-C-M** = Insider, Window, Creative, Misuse.

## 4. Ethics in Human Resource Management

- **Recruitment & selection** – fair, merit-based; no nepotism; honest job ads; no false promises
- **Discrimination** – on caste, religion, gender, disability, age is unethical (Art. 14-16 Constitution; Equal Remuneration Act 1976; RPwD Act 2016)
- **Privacy** – protect employee data; limited surveillance; DPDP Act 2023
- **Sexual harassment** – **POSH Act 2013** (Sexual Harassment of Women at Workplace – Prevention, Prohibition & Redressal):
  - Internal Complaints Committee (ICC) mandatory in offices with ≥ 10 employees
  - Complaint within 3 months; inquiry in 90 days; Vishaka Guidelines (1997) were the base
- **Fair wages & benefits** – Code on Wages 2019; equal pay for equal work; no exploitation, no bonded/child labour
- **Whistle-blowing** – employee discloses wrongdoing inside firm; protect from retaliation (Whistle Blowers Protection Act 2014; Companies Act 2013 s.177 vigil mechanism)
- **Termination** – fair notice, valid reason, hearing, dues paid (Industrial Disputes Act 1947 – retrenchment compensation); no arbitrary firing
- **Employee rights** – safe workplace, dignity, freedom of association, grievance redressal, PF/ESI, maternity benefit

**Whistle-blowing** = disclosure by insider of illegal/unethical practice to those who can act. Ethical if: serious harm, internal channels tried, evidence is solid, good faith (not revenge).

## 5. Ethics in Marketing Management

- **Misleading / false advertising** – exaggerated claims, hidden terms, fake testimonials, surrogate ads (liquor), celebrity endorsement without checks
- **Consumer rights** (CPA 2019): safety, information, choice, be heard, redressal, consumer education
- **Consumer Protection Act 2019** (replaced 1986 Act):
  - CCPA – Central Consumer Protection Authority (class action, recall, penalise misleading ads)
  - Product liability; e-commerce rules; 3-tier forums: District, State, National Commission
- **ASCI** – Advertising Standards Council of India (1985), self-regulatory; ads must be honest, decent, non-harmful, fair
- **Unfair trade practices** – false claims, bait-and-switch, hoarding, black-marketing, adulteration, selling expired goods
- **Greenwashing** – falsely claiming a product is eco-friendly ("natural", "green") – CCPA green-claims guidelines 2024

| 4 Ps | Ethical issues |
|---|---|
| **Product** | Unsafe/defective goods, misleading labels, harmful products to kids, planned obsolescence, poor packaging info |
| **Price** | Price fixing / cartel, predatory pricing, price gouging in crisis (sanitizers 2020), hidden charges, deceptive MRP discounts |
| **Promotion** | False/exaggerated ads, bribing influencers, high-pressure selling, ads targeting children, fake reviews |
| **Place** (distribution) | Hoarding & artificial shortage, exclusive-dealing coercion, grey market, exploiting small retailers, dumping |

★ *Important*

Example: **Maggi (Nestlé India, 2015)** – ban for excess lead & "no added MSG" label claim → product safety + label honesty. **Nestlé baby-milk formula** controversy (global) – aggressive promotion in poor countries.

# 6. The Ethical Value System

**Ethical value system** = set of moral principles/theories that guide **what is right** and help managers justify decisions. Six major approaches in syllabus:

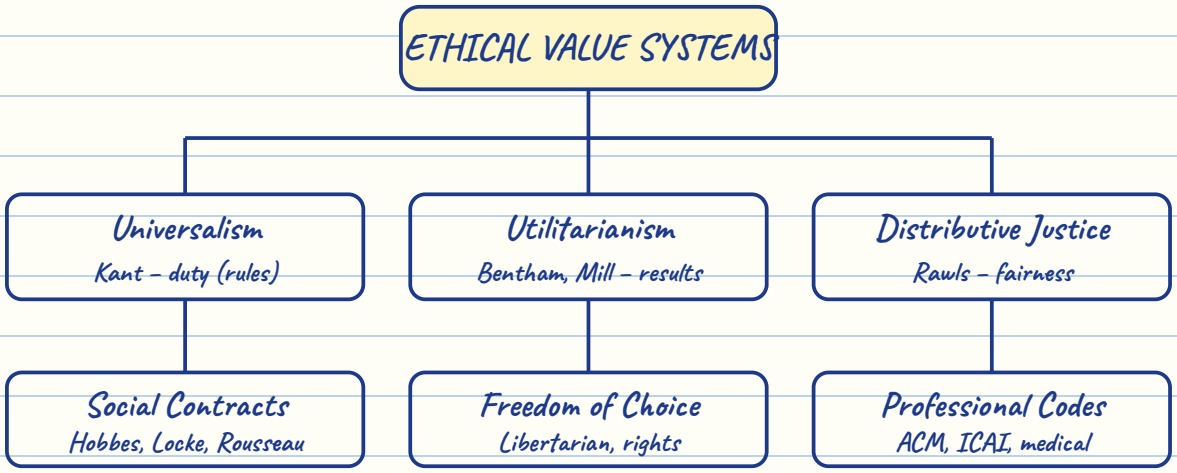



Fig 2: Ethical value systems

## (a) Universalism (Deontology – Immanuel Kant)

- **Meaning**: an act is right if it follows a **universal moral rule/duty**, whatever the result ("duty for duty's sake")
- **Categorical imperative**:
  - Universal law – act only on a rule you would want **everyone** to follow
  - Humanity – treat people as **ends**, never merely as means
- **Merits**: clear, consistent, protects human dignity & rights; no favouritism
- **Demerits**: rigid, ignores consequences; rules may conflict (truth vs saving a life)
- **Example**: never lie in ads, even if lying raises sales; no bribery even if everybody does it

## (b) Utilitarianism (Jeremy Bentham, J.S. Mill)

- **Meaning**: right act = one giving the **greatest good (happiness) to the greatest number** (teleological / consequentialist)
- **Act** utilitarianism – judge each single act by its result; **Rule** utilitarianism – follow rules that generally give best results
- Bentham = quantity of pleasure (felicific calculus); Mill = **quality** of pleasure also counts
- **Merits**: practical, cost-benefit friendly, focuses on social welfare
- **Demerits**: minority may suffer; hard to measure happiness; "ends justify means" (Ford Pinto cost-benefit!)
- **Example**: closing a polluting plant → job loss for few but health for thousands

## (c) Distributive Justice (John Rawls, A Theory of Justice, 1971)

- **Meaning**: fair distribution of **benefits and burdens** (wealth, rights, opportunity) in society
- **Veil of ignorance** – choose rules without knowing your own position (rich/poor, caste, gender) → rules will be fair
- Rawls' **two principles**:
  1. **Equal basic liberty** for all
  2. **Difference principle** – inequality allowed only if it benefits the **least advantaged** and offices are open to all (fair equality of opportunity)
- **Merits**: protects the weak; basis of welfare, reservation, progressive tax, equal pay
- **Demerits**: may reduce incentive & effort; hard to define "fair"; ignores merit/effort
- **Example**: equal pay for equal work; pay gap between CEO & workers; CSR spending on weaker sections

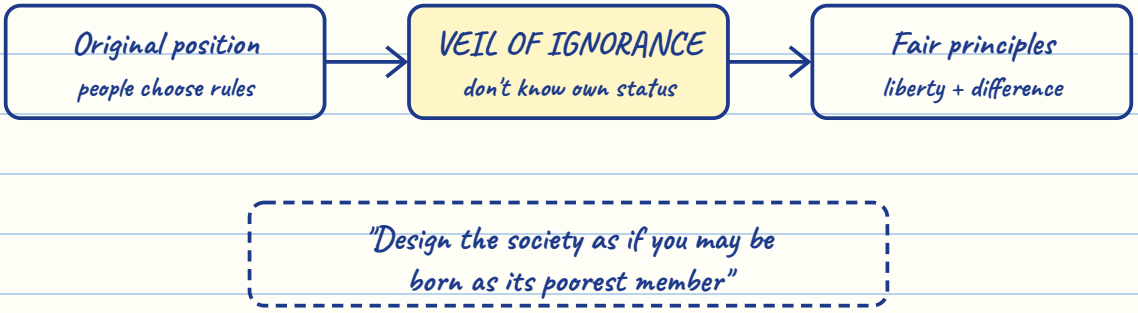



Fig 3: Rawls – veil of ignorance

## (d) Social Contract Theory

- **Meaning**: morality/authority comes from an **implicit agreement** among members of society to live by rules for mutual benefit
- **Hobbes** (Leviathan) – life without state is "nasty, brutish, short" → people surrender rights to a strong ruler
- **Locke** – natural rights to life, liberty, property; govt rules by consent, limited power
- **Rousseau** (The Social Contract) – **general will** of the people; community sovereignty
- **Integrative Social Contracts Theory** (Donaldson & Dunfee):
  - **Macrosocial** contract – universal **hypernorms** (basic human rights, no slavery)
  - **Microsocial** contract – local community / industry norms, valid if consistent with hypernorms

- **Business view**: company has implied contract with society → licence to operate in return for jobs, safe goods, CSR
- **Merits**: links business to society; allows cultural variation. **Demerits**: contract is hypothetical, not signed; vague on what is agreed; may favour powerful

### (e) Individual Freedom of Choice (Libertarianism & Rights theory)

- **Meaning**: each person is free to act as they choose provided they **do not harm** others' freedom; minimal state interference (Robert Nozick, Milton Friedman: "business of business is business")
- **Rights theory** (Locke): **moral/natural rights** – life, liberty, property, privacy, free speech; one person's right = others' duty
- **Merits**: respects autonomy, free markets, innovation, informed consent
- **Demerits**: ignores inequality & social good; rights may clash (consumer's safety vs firm's freedom to sell); externalities like pollution
- **Example**: employee's right to privacy; consumer's right to choose; firm's freedom to set price (but not collude)

### (f) Professional Codes

- **Meaning**: written rules of conduct framed by a profession for its members → duties to client, public, profession
- Examples: **ACM / IEEE** codes (public interest, no harm, honesty, confidentiality); **Engineers' code** (NSPE: public safety first); **Medical** (Hippocratic oath, MCI/NMC code – confidentiality, "do no harm"); **ICAI Code of Ethics** (integrity, objectivity, independence, confidentiality, due care; misconduct under Chartered Accountants Act 1949)
- **Merits**: clear guidance, public trust, disciplinary power. **Demerits**: may protect members, cannot cover all cases, depends on enforcement

## 7. Comparison of Theories & Ethical Decision Test

| Theory | Key idea | Judges by | Weakness |
|---|---|---|---|
| Universalism | Follow duty/rule | Act itself (deontological) | Rigid |
| Utilitarianism | Greatest good | Consequences | Minority ignored |
| Distributive justice | Fairness, help least-off | Fair distribution | Reduces incentive |
| Social contract | Implied agreement | Norms of community | Vague |
| Freedom of choice | Liberty, rights | No harm to others | Ignores welfare |
| Professional codes | Written rules | Code compliance | Limited / self-serving |

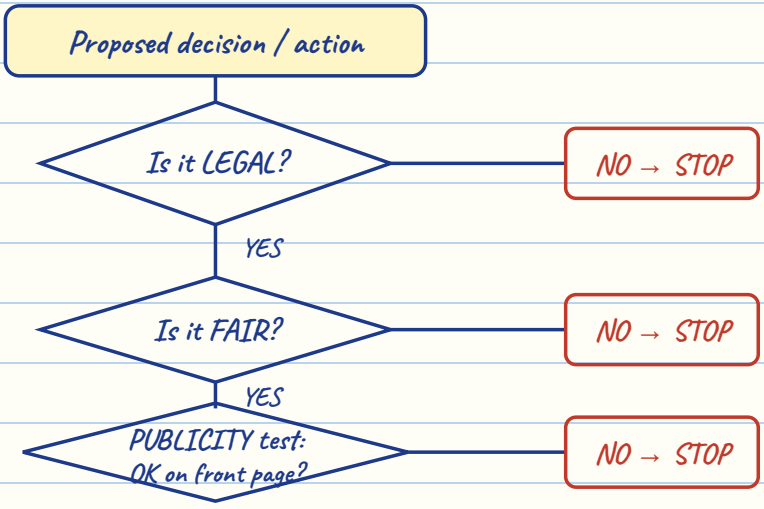



Fig 4: Three-question ethical decision test (all YES → proceed)

- **Legal test** – does it break any law/regulation/company policy?
- **Fairness (balance) test** – is it fair to all stakeholders? Would I like it done to me (golden rule)?
- **Publicity (newspaper / TV) test** – would I be comfortable if it was public, or explained to my family?
- Extra: Utility test (greatest good?), Rights test (violates anyone's rights?), Virtue test (what would a person of integrity do?)

## 8. Culture and Ethics

**Culture** = shared values, beliefs, customs, language and behaviour of a group. Culture shapes **what people consider ethical** → same act can be accepted in one country and punished in another.

## Hofstede's cultural dimensions (Geert Hofstede, IBM study, 1980)

| Dimension | Meaning (ethical impact) |
|---|---|
| **Power Distance** | Acceptance of unequal power; high → obedience to boss, little questioning (India, Malaysia) |
| **Individualism vs Collectivism** | "I" vs "We"; collectivist → loyalty to group, favouritism to kin (India, China); individualist → personal rights (USA, UK) |
| **Masculinity vs Femininity** | Competition, success vs care, quality of life |
| **Uncertainty Avoidance** | Comfort with ambiguity; high → strict rules & codes (Japan, Greece) |
| **Long-term Orientation** | Future thrift vs tradition/short-term (China, Japan) |
| **Indulgence vs Restraint** | Freedom to enjoy vs strict norms (added later, 2010) |

## Ethical values in different cultures

| Western | Eastern (Asian, Indian) |
|---|---|
| Individualism, personal rights | Collectivism, family/community duty |
| Rule/contract-based, written law | Relationship-based (guanxi China, jugaad/networks India) |
| Direct, low power distance | Respect for seniors, high power distance |
| Efficiency, profit, shareholder | Harmony, dharma, stakeholder (Vasudhaiva Kutumbakam, Gita: nishkama karma) |

- **Bribery vs gift-giving**: gifts are courtesy in Japan, China, Middle East, but may look like bribe in USA; **facilitation (grease) payments** normal in some places
- **Foreign Corrupt Practices Act 1977 (USA)** – bans US firms bribing foreign officials; accounting provisions (books & records)
- **UK Bribery Act 2010** – stricter: covers private bribery too, no facilitation-payment exemption; corporate offence of failing to prevent bribery
- India: **Prevention of Corruption Act 1988** (amended 2018 – bribe-giver also liable)

### Ethical relativism vs Universalism

| Cultural / Ethical relativism | Ethical universalism |
|---|---|
| Right/wrong depends on culture: "When in Rome, do as Romans do" | Some values are universal everywhere (no murder, theft, slavery, bribery) |
| Tolerant of differences | Gives one global standard |
| Risk: justifies bad practices (child labour, bribery) | Risk: imposes one culture's views |

★ Important

Middle path = **Integrative social contract**: respect local norms but never violate **hypernorms** (human dignity, basic rights, fairness). Multinationals follow a **global code + local adaptation**.

## 9. Culture and Individual Ethics

- Individual ethics are **learned** from: **Family** (first teacher – honesty, respect), **Religion** (moral codes – karma, dharma, charity), **Education** (values, role models), **Peers & society** (group pressure), **Media**, **Workplace culture** (what boss rewards), **Law**
- Personal factors: conscience, self-strength, locus of control, experience

### Kohlberg's Stages of Moral Development (Lawrence Kohlberg, 1958-81)

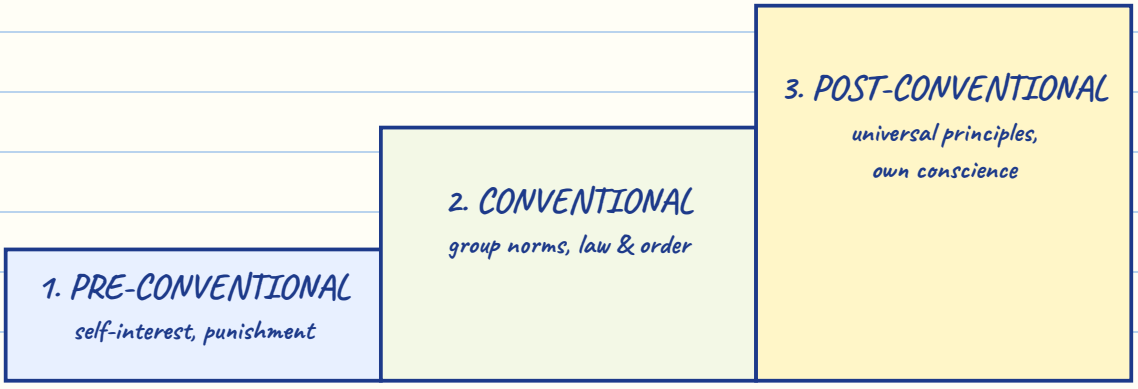



Fig 5: Kohlberg – 3 levels, 6 stages (staircase of maturity)

| Level | Stage | Basis of decision |
|---|---|---|
| I Pre-conventional | 1 Obedience & punishment | Avoid being punished |
| | 2 Self-interest (exchange) | "What's in it for me?" |
| II Conventional | 3 Interpersonal conformity | Be a "good boy/girl"; approval of peers |
| | 4 Law & order | Follow rules, duty, authority |
| III Post-conventional | 5 Social contract | Rights of all, democratic laws |
| | 6 Universal principles | Justice, dignity, own conscience (Gandhi, Mandela) |

- Most managers are at level 2; ethical leaders aim at level 3

## 10. Professional Ethics and Technical Ethics

- **Professional ethics** = moral code governing conduct of members of a **profession** (doctor, lawyer, CA, engineer, manager) in relation to clients, employers, public → integrity, competence, confidentiality, accountability, public interest. Backed by body (ICAI, BCI, NMC, IEI)
- **Technical ethics** = ethics arising in **design, use and impact of technology / technical work** – safety, reliability, environment, data privacy, AI fairness, intellectual property, whistle-blowing on unsafe design

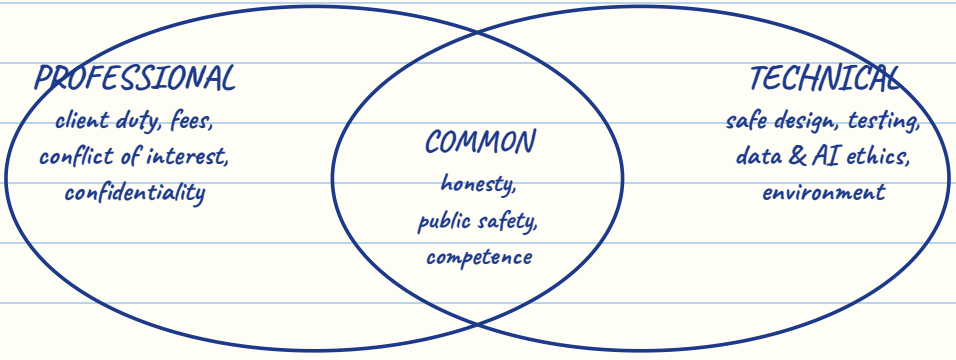



Fig 6: Professional vs technical ethics (overlap)

| Basis | Professional ethics | Technical ethics |
|---|---|---|
| Focus | Conduct of the **person** in a profession | Moral issues of **technology / technical work** |
| Scope | Client, employer, colleagues, society | Product, process, user, environment |
| Source | Professional bodies' codes (ICAI, NMC, IEEE) | Engineering standards, safety laws, tech guidelines |
| Enforced by | Disciplinary action / licence cancel | Regulators, standards (BIS, ISO), liability |
| Examples | CA auditing honestly; lawyer keeping secrets; doctor confidentiality | Safe bridge design; no hidden software defeat device; AI bias |

## 11. Engineers' Ethics

- **Public safety** first (paramount duty – NSPE, IEEE)
- **Honesty** – truthful reports, data, test results; no falsifying
- **Confidentiality** – protect employer/client trade secrets
- **Conflict of interest** – avoid, or disclose (gifts, shares, side-jobs)
- **Competence** – work only in area of expertise; no plagiarism; respect IPR; fair credit

| Case | Facts | Lesson |
|---|---|---|
| **Challenger** (28 Jan 1986) | Space shuttle exploded 73 s after launch; O-ring failed in cold; engineers (Roger Boisjoly, Morton Thiokol) warned, but management overruled | Engineers' warning must be heard; pressure of schedule vs safety; whistle-blowing |
| **Boeing 737 MAX** (2018 Lion Air, 2019 Ethiopian) | MCAS software flaw; 346 died; pilots not informed; cost & time pressure, weak oversight | Transparency, safe design, regulatory honesty |

## 12. Developing Ethical Values in Self and Organization

### Self

- Know your values; reflect daily; think of consequences; seek advice
- Honesty in small things; keep promises; accept mistakes; courage to say "No"
- Learn from role models; read, meditate; apply decision test

### Organization

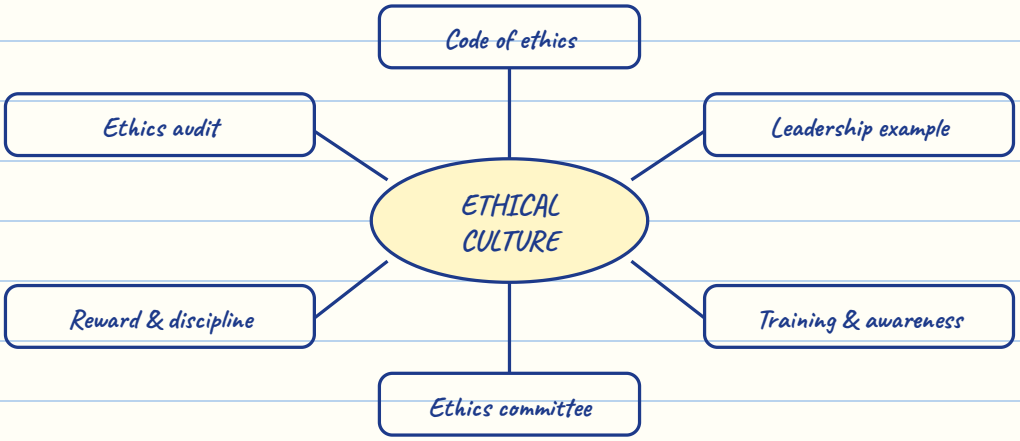



Fig 7: Building an ethical organization

- **Code of ethics** – written, simple, covers bribery, conflict, harassment, data; signed by all (e.g. Tata Code of Conduct)
- **Leadership** – "tone at the top"; leaders walk the talk (J.R.D. Tata, N.R. Narayana Murthy)
- **Training** – induction + regular workshops, case studies, e-learning
- **Ethics committee / officer** – advises, investigates; helpline; whistle-blower channel
- **Reward system** – reward ethical behaviour, punish violations, fair appraisal (no "target at any cost")
- **Ethics audit** – periodic check of compliance, social/environmental performance; report to board; corrective action

★ *Important*

**Mnemonic: C-L-T-C-R-A** = Code, Leadership, Training, Committee, Reward, Audit.

## 13. Quick Revision & Likely Exam Questions

### Quick facts

- Kant = duty; Bentham/Mill = greatest good; Rawls = veil of ignorance + difference principle; Hobbes/Locke/Rousseau = contract; Nozick = libertarian
- Hofstede = 5/6 dimensions; Kohlberg = 3 levels, 6 stages; FCPA 1977; UK Bribery Act 2010; POSH 2013; CPA 2019; Companies Act 2013
- Cases: Pinto, Bhopal, VW | Satyam, Harshad, Nirav Modi | Challenger, Boeing MAX

### 2-mark questions

1. Define ethics in management.
2. What is planned obsolescence?

3. Distinguish insider trading and window dressing.
4. State Kant's categorical imperative.
5. What is the veil of ignorance?
6. Define whistle-blowing.
7. What is greenwashing?
8. Name Hofstede's dimensions.
9. What is ethical relativism?
10. State the publicity test.

## 5-mark questions

1. Explain ethics in marketing with 4 Ps.
2. Discuss ethical issues in HRM; note POSH Act 2013.
3. Explain utilitarianism with merits and demerits.
4. Rawls' theory of distributive justice.
5. Kohlberg's stages of moral development.
6. Compare professional ethics and technical ethics.
7. Bribery vs gift-giving; FCPA and UK Bribery Act.
8. How to build ethics in an organization?

## 10-mark questions

1. Explain ethics in production, finance, HRM and marketing with examples.
2. Discuss the ethical value systems – universalism, utilitarianism, justice, social contracts, freedom of choice, professional codes – with comparison.
3. Explain culture and ethics: Hofstede, relativism vs universalism, culture and individual ethics.
4. Case analysis: Satyam / Bhopal / Challenger / Boeing 737 MAX – ethical lapses and lessons.

★ **Important**

Write-up tip: Definition → features/theory → example (Indian + global) → merits/demerits → diagram/table → conclusion.

# UNIT III – Corporate Culture

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech · Management Course-II

**Learning outcomes**

- Define corporate culture
- Understand its key elements
- Analyse organisation leadership & corporate culture

## 1. Introduction

- Every firm has a **personality** → "the way we do things here"
- Two firms, same industry, same tech → behave very differently = **culture**
- Culture is **invisible** but felt: dress, language, decisions, how bosses treat staff
- Also called **organisational culture** / **corporate culture** (used interchangeably)
- Links to ethics: culture decides whether ethics is **lived** or only **written** (Enron, Satyam vs Tata)

## 2. Meaning & Definitions

**Corporate culture** = shared values, beliefs, norms, symbols & behaviour patterns that guide how members of an organisation think, feel and act.

| Author | Definition (key idea) |
|---|---|
| Edgar Schein | Pattern of shared **basic assumptions** learned by a group while solving problems of external adaptation & internal integration; taught to new members as the correct way |
| Geert Hofstede | "Collective **programming of the mind** that distinguishes members of one organisation from another" |
| Deal & Kennedy (1982) | "The way things get done around here" (book: Corporate Cultures) |
| O'Reilly | System of shared values defining what is important + norms defining appropriate attitudes & behaviours |

- Mnemonic for definition words: **V-B-N-S-L** = Values, Beliefs, Norms, Symbols, Language

## 3. Nature / Characteristics

- **Shared** → common to most members, not personal
- **Learned** → acquired by socialisation, not inherited
- **Intangible & implicit** → unwritten rules
- **Relatively stable** → changes slowly, takes years
- **Holistic** → covers structure, people, systems, behaviour
- **Symbolic** → expressed through stories, logos, rituals
- **Distinctive** → separates one firm from another
- **Dynamic** → evolves with leaders, markets, technology
- **Multi-level** → organisation culture + sub-cultures (dept, region)
- **Prescriptive** → tells people what is right/wrong
- Sub-culture = e.g. R&D (creative, loose) vs Finance (rule-bound) inside same firm
- Counter-culture = group that rejects the core values

## 4. Significance / Functions

| Function | How it helps |
|---|---|
| **Identity** | Gives members a sense of "who we are" → pride (Tata = trust) |
| **Commitment** | Loyalty bigger than self-interest → low attrition |
| **Social glue** | Binds diverse people (language, region) together |
| **Control** | Informal guide of behaviour; cheaper than rules & supervision |
| **Sense-making** | Shows how to interpret events, take decisions |
| **Performance** | Aligns effort to strategy → productivity, quality |
| **Employer brand** | Attracts talent (Google, Infosys "best places to work") |
| **Stability** | Social system equilibrium; reduces ambiguity |

★ Important

- Remember: **I-C-G-C-P-E** = Identity, Commitment, Glue, Control, Performance, Employer brand
- Dysfunction: barrier to change, to diversity, to mergers

## 5. Schein's Three Levels of Culture

- Culture has **3 layers** – like an iceberg: top visible, bulk hidden

| Level | Meaning | Example |
|---|---|---|
| 1 Artifacts | Visible structures, behaviour, symbols | Google's playful campus, Tata logo, Infosys campus |
| 2 Espoused values | Stated strategies, goals, philosophies | Tata "Leadership with Trust"; Toyota "Respect for people" |
| 3 Basic assumptions | Unconscious, taken for granted; drive behaviour | "Customer is God"; "Quality can never be compromised" |

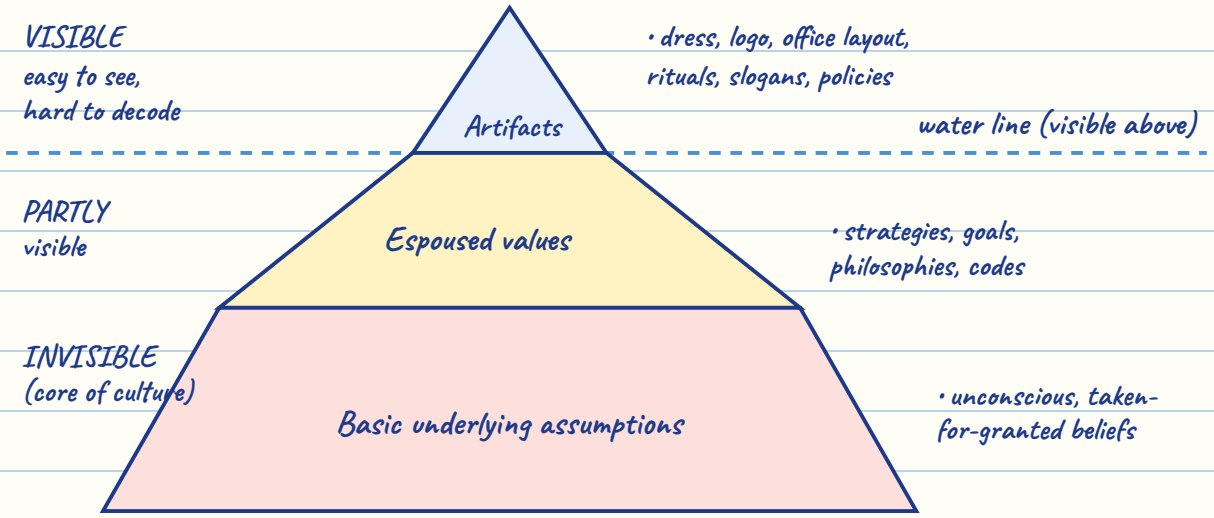



Fig 1: Schein's iceberg model of corporate culture

- Gap between espoused values & assumptions = **hypocrisy** (Enron's "Integrity" code vs real greed)

## 6. Key Elements of Corporate Culture

### (a) Shared values

- Core principles of what is important → guide decisions
- Infosys **C-LIFE**: Client value, Leadership by example, Integrity, Fairness, Excellence
- Tata: integrity, responsibility, pioneering, excellence, unity

### (b) Beliefs

- Convictions about "what is true" → e.g. people are the best asset; failure is a step to learning
- Google believes in "10x" thinking; Toyota believes in **kaizen** (continuous improvement)

### (c) Norms

- Unwritten rules of acceptable behaviour (punctuality, openness, formal address)
- Zappos: norm of fun & "weirdness"; Toyota: andon cord – anyone may stop the line

### (d) Rituals & ceremonies

- **Rituals** = repeated routines (morning huddle, Friday TGIF at Google)
- **Ceremonies** = special events: awards, Founder's day, long-service awards
- Tata: Founders' Day, JN Tata anniversary; Infosys: Spot awards

### (e) Symbols

- Logos, buildings, uniforms, Tata "T", Google doodle, corner-office vs open-plan

### (f) Language & jargon

- Special words show belonging: Googlers/Noogler; Infosys "Infoscions"; Tata "Tata-ites"; TCS "ignite"

### (g) Stories, heroes, taboos, dress code, layout

- **Stories**: J.R.D. Tata's ethics; Narayana Murthy's integrity tale
- **Heroes**: founders / role models; **Taboos**: forbidden acts (bribery, bullying)
- **Dress code** (formal bank vs jeans-T-shirt start-up); **physical layout** (open office, no cabins)

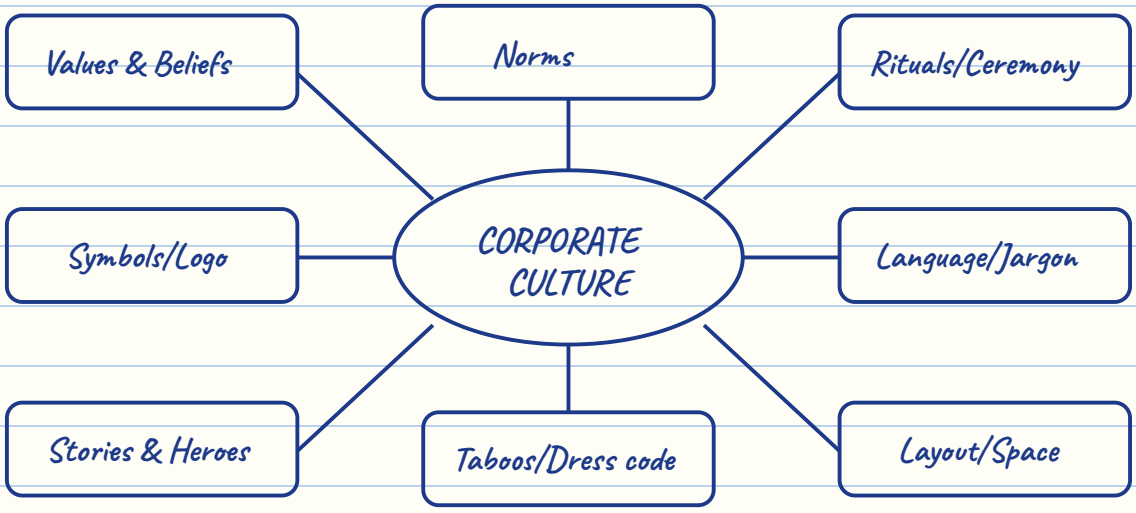



Fig 2: Key elements (building blocks) of corporate culture

## 7. Types of Corporate Culture

### 7.1 Cameron & Quinn – Competing Values Framework (CVF)

- Two axes: **Flexibility ↔ Control** (vertical) and **Internal ↔ External focus** (horizontal)
- Tool: OCAI (Organisational Culture Assessment Instrument)

| | | |
|---|---|---|
| FLEXIBLE & discretion | **CLAN (Collaborate)**<br>family, loyalty, teamwork<br>leader = mentor/parent | **ADHOCRACY (Create)**<br>innovation, risk, agility<br>Google, 3M |
| STABLE & control | **HIERARCHY (Control)**<br>rules, SOPs, efficiency<br>Govt, banks, army | **MARKET (Compete)**<br>targets, winning, share<br>GE, Amazon |

INTERNAL focus & integration EXTERNAL focus & differentiation

Fig 3: Competing Values Framework (Cameron & Quinn)

| Type | Focus | Glue / Success | Risk |
|---|---|---|---|
| Clan | People, internal | Loyalty, commitment; morale | Groupthink, slow decisions |
| Adhocracy | Innovation, external | Experimentation; new products | Chaos, burnout, failures |
| Market | Results, external | Winning; market share | Stress, short-termism |
| Hierarchy | Control, internal | Rules; smooth, efficient | Rigid, bureaucratic |

## 7.2 Hierarchical culture

- Formal, **structured**, rules & SOPs; clear chain of command (scalar principle)
- Decisions top → down; roles & job descriptions fixed; seniority respected
- Values: **stability, predictability, efficiency, order**
- Examples: government depts, PSU banks (SBI), military, Indian Railways, large utilities

| Merits | Demerits |
|---|---|
| Clarity of roles & authority | Slow decisions, red tape |
| Consistency, low errors | Kills creativity & initiative |
| Good for large/regulated work | Resistance to change |
| Accountability easy to fix | Low morale at lower levels |

## 7.3 Market-driven culture (result-oriented)

- Focus on **external** environment: customers, competitors, market share
- Values: **achievement, competitiveness, targets, profit**; "winning" is key
- Performance-linked pay, incentives, ranking; transactions over relationships
- Leaders: tough, demanding, goal-driven producers
- Examples: Amazon, GE (Jack Welch's "rank & yank"), sales firms, FMCG (HUL), pharma sales

- **Merits**: high productivity, customer focus, quick action
- **Demerits**: cut-throat, stress, unethical shortcuts (Wells Fargo fake accounts), low loyalty

> ★ **Important**
> - Hierarchy = **control** + internal; Market = **control** + external (both "stable" side of CVF)
> - Be ready to draw the 2×2 CVF in 10-mark answers

## 7.4 Deal & Kennedy's typology (risk × feedback speed)

| | FAST feedback | SLOW feedback |
|---|---|---|
| HIGH RISK | **TOUGH-GUY MACHO**<br>high risk, fast feedback<br>stock brokers, surgeons, sports | **BET-YOUR-COMPANY**<br>high risk, slow feedback<br>oil, aerospace, Boeing, ISRO |
| LOW RISK | **WORK HARD–PLAY HARD**<br>low risk, fast feedback<br>sales: McDonald's, Amazon, retail | **PROCESS CULTURE**<br>low risk, slow feedback<br>banks, insurance, govt |

Fig 4: Deal & Kennedy's four culture types

## 7.5 Handy's four cultures (Charles Handy – "Gods of Management")

| Culture | God | Features | Example |
|---|---|---|---|
| **Power** | Zeus | Central power source, personal control, quick | Family business, start-ups |
| **Role** | Apollo | Rules, job roles, procedures | Govt, bureaucracy |
| **Task** | Athena | Teams solve problems; expertise | Consulting, project firms |
| **Person** | Dionysus | Individual is central; org serves people | Law/medical partnerships, universities |

## 7.6 Other classifications

| **Strong culture** | **Weak culture** |
|---|---|
| Values widely shared & intensely held<br>High agreement, low turnover<br>Predictable behaviour (Tata, Toyota) | Few shared values; many sub-cultures<br>Rules & supervision needed<br>Confusion, high attrition |
| **Ethical culture** | **Unethical culture** |
| Integrity, transparency, code enforced<br>Whistle-blowers protected<br>Leaders model ethics (Tata, Infosys) | Results at any cost, secrecy, fear<br>Ethics only on paper<br>Enron, Satyam, Volkswagen "dieselgate" |

- Strong ≠ always good: strong **wrong** culture is dangerous (Enron)

## 8. How Culture is Created, Sustained & Learned

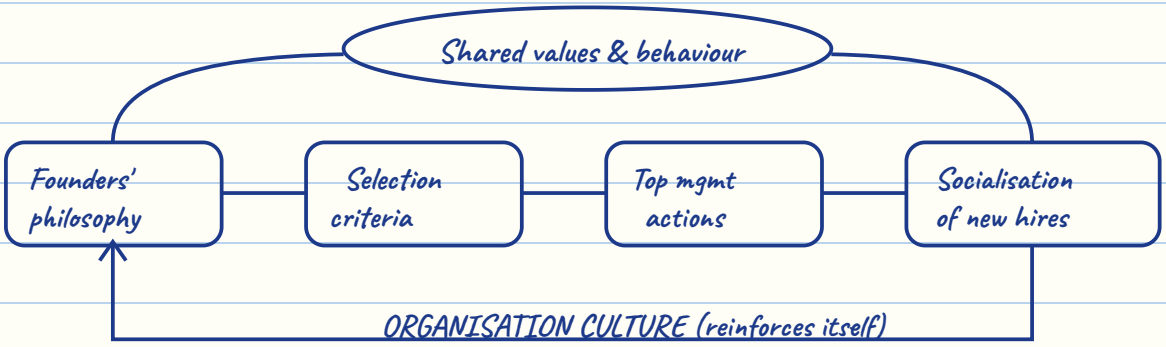



Fig 5: Creation and sustenance of culture (Robbins)

### Creation

- **Founder's vision** → hires like-minded people → they share & internalise → culture forms
- Examples: Jamsetji Tata (nation-building, labour welfare), N.R. Narayana Murthy (transparency, merit), Tony Hsieh (Zappos "deliver happiness")

### Maintenance (3 forces)

- **Selection**: hire for culture fit (Zappos pays new hires to quit if misfit!)
- **Top management**: what they say & do sets norms
- **Socialisation**: orientation, mentors, training, stories

### How employees learn culture

- **Stories** · **Rituals** · **Material symbols** · **Language** · role-modelling · rewards · induction
- Socialisation stages: **pre-arrival** → **encounter** → **metamorphosis**

## 9. Culture and Performance

- Kotter & Heskett (1992, 11 yrs, 200+ firms) → **adaptive** cultures earned 4× revenue growth, 12× stock price vs others
- Strong + **fit with strategy** + **adaptive** = superior performance
- Positive: motivation, alignment, quality (Toyota Way), customer service (Ritz-Carlton)
- Negative: inertia, groupthink, resistance (Kodak, Nokia)
- Culture eats strategy for breakfast – (attributed to Peter Drucker)

## 10. Organisation Leadership & Corporate Culture

- **Leadership** = influencing people to achieve shared goals

- Schein: "**Leaders create culture, then culture shapes leaders**" – two sides of one coin
- Leaders = culture **creators, embedders, changers** and role models

### Schein's embedding mechanisms

| Primary (powerful) | Secondary (articulate/reinforce) |
|---|---|
| 1. What leaders **pay attention to**, measure, control<br>2. Reaction to **crises**<br>3. Role modelling, coaching<br>4. Criteria for **rewards & status**<br>5. Criteria for recruitment, promotion, **dismissal** | 1. Organisation design & structure<br>2. Systems & procedures<br>3. Facilities / physical space<br>4. Stories, legends, myths<br>5. Formal statements – creed, charter |

★ Important

- Primary = what leaders actually **do** > Secondary = what they **say**

## II. Leadership Styles & Impact on Culture

### Lewin's leadership studies (Kurt Lewin, 1939, Iowa)

- Three styles: **Autocratic, Democratic, Laissez-faire** (tested on boys' clubs)
- Finding: democratic → best satisfaction & quality; autocratic → high output but hostility; laissez-faire → low output, confusion

| Style | Features | Culture created |
|---|---|---|
| **Autocratic** | Leader decides alone, strict control | Hierarchical, fear, low trust, dependent |
| **Democratic / participative** | Consults team, shared decisions | Open, collaborative, clan-like, high commitment |
| **Laissez-faire** | Hands-off, full freedom | Autonomy for experts but drift, no direction |
| **Transactional** | Rewards-for-performance, rules, exceptions | Market/role culture; target-driven, short-term |
| **Transformational** | Vision, inspires, develops people | Innovative, change-ready, purpose-driven |
| **Servant** (Greenleaf) | Serves followers first, empathy | Caring, trust, ethical, high retention (Southwest, Tata trusts) |
| **Charismatic** (Weber, House) | Personal magnetism, bold vision | Devoted, dependent on leader; succession risk (Steve Jobs at Apple) |

## 12. Transformational Leadership & Culture

- Concept: **J.M. Burns** (1978) "Leadership"; extended by **Bernard Bass** (1985)
- Leader raises followers' motivation & morality beyond self-interest → org change
- Examples: Satya Nadella, Ratan Tata, Elon Musk, Narayana Murthy, Mahatma Gandhi

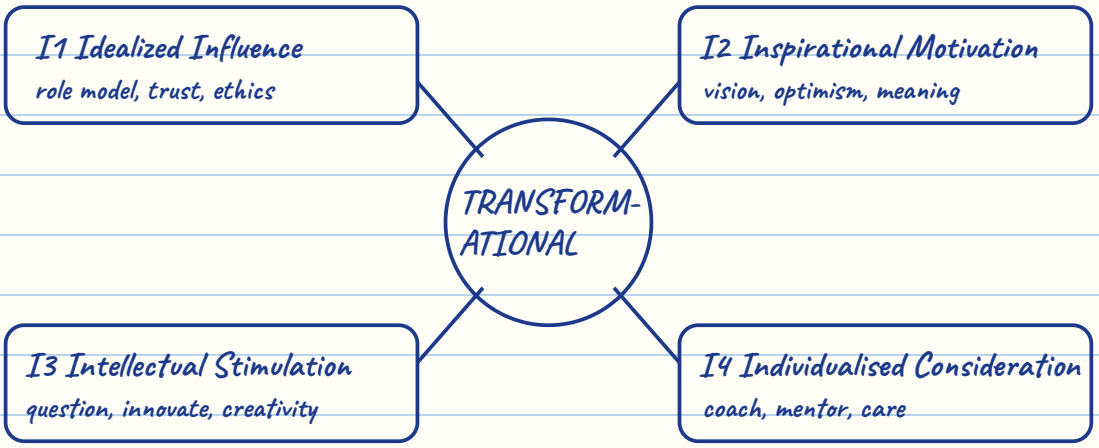



Fig 6: The Four I's of transformational leadership (Bass)

| Basis | Transformational | Transactional |
|---|---|---|
| Approach | Inspire, change status quo | Exchange: reward for work |
| Focus | Vision, long-term, people | Tasks, short-term, targets |
| Motivation | Intrinsic, higher-order needs | Extrinsic: pay, penalty |
| Followers | Empowered, creative | Compliant |
| Culture | Adaptive, innovative | Stable, rule-based |
| Suitable in | Crisis, change, growth | Stable, routine operations |

- Transformational leaders change culture by: **articulating vision → role modelling → empowering → reframing values → celebrating wins**

## 13. Culture Change

### Why change?

- Market/tech disruption, poor performance, new strategy, mergers, new CEO, scandal, globalisation

### Resistance to culture change

- Fear of loss of power/job · habit · comfort with old values · lack of trust · sub-culture loyalty · past success ("Why fix what isn't broken?")

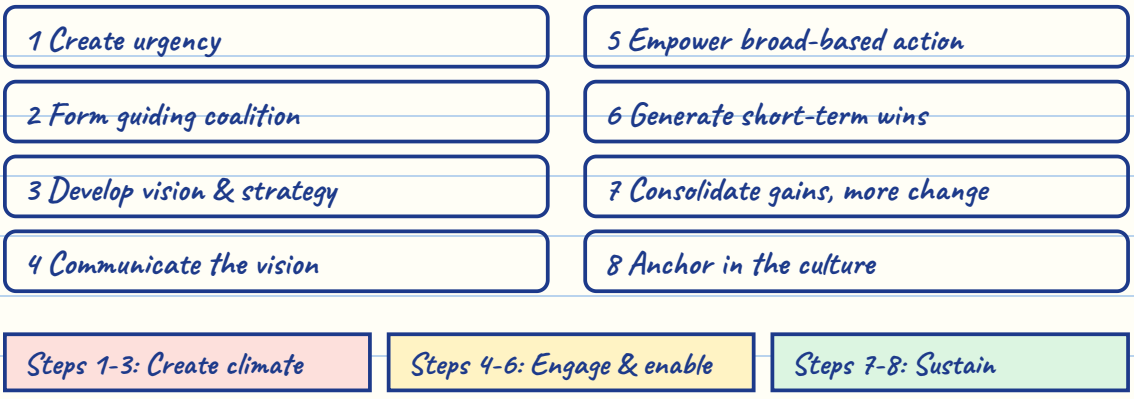
## Lewin's 3-step model (Unfreeze – Change – Refreeze)

Force-field: driving forces vs restraining forces




Fig 7: Lewin's change model

## Kotter's 8-step model (John Kotter, 1995 HBR, Leading Change)




Mnemonic: "U-C-V-C-E-W-C-A" → Urgency, Coalition, Vision, Communicate, Empower, Wins, Consolidate, Anchor

Fig 8: Kotter's eight-step change process

## Steps for culture change (practical)

1. Diagnose current culture (**culture audit**) & define desired culture
2. Top-management commitment; new vision/values statement
3. Change leaders / symbols / structure / reward system
4. Train & communicate; involve employees; manage resistance
5. Hire/promote culture carriers; remove misfits
6. Reinforce & monitor; re-audit

## Examples of culture change

| Case | What changed |
|---|---|
| **Microsoft – Satya Nadella** (CEO 2014) | From "know-it-all" to "**learn-it-all**"; growth mindset (Carol Dweck); cloud-first, collaboration; ended stack-ranking → revenue & market value soared |
| **Tata Steel** | Safety & ethics culture; 1990s Russi Mody-era "Tata Steel 2000" restructuring & ethical, welfare-based "Tata Way"; "Zero Harm" safety focus |
| **Indian Railways** | From rule-bound bureaucracy → customer service, digital (IRCTC e-ticketing, Rail Madad), safety & cleanliness focus, Vande Bharat |

## 14. Culture Audit

- **Culture audit** = systematic assessment of existing values, norms, behaviour vs desired culture
- Methods: **surveys** (OCAI), interviews, focus groups, observation, document analysis, exit interviews
- Steps: set purpose → collect data → analyse gaps (as-is vs to-be) → report → action plan
- Uses: before change, merger, ethics programme; detects toxic sub-cultures

## 15. Merging Cultures

- Most mergers fail (≈ 60-70%) due to **culture clash**, not finance
- Four acculturation modes (Berry/Nahavandi & Malekzadeh): **integration, assimilation, separation, deculturation**
- **DaimlerChrysler** (1998 "merger of equals", $36bn): German formal, hierarchical, engineering-led vs American informal, cost & marketing-led; pay gap, decision styles → talent exodus; Daimler sold Chrysler in 2007 (Cerberus)
- Indian cases: **Tata–Corus** (2007, integration problems), **Tata–Jaguar Land Rover** (success: autonomy retained), Daiichi–Ranbaxy (2008)
- Remedies: culture due diligence, joint integration team, clear communication, retain talent, blend best of both

## Quick Revision & Likely Exam Questions

### Quick revision capsules

- Culture = shared V-B-N-S-L; Schein 3 levels: **Artifacts / Espoused values / Basic assumptions**
- CVF: **Clan, Adhocracy, Market, Hierarchy** / D&K: **Macho, Work-play, Bet-company, Process** / Handy: **Power, Role, Task, Person**
- Functions: Identity, Commitment, Glue, Control, Performance, Brand
- Culture maintained by: **Selection, Top mgmt, Socialisation**
- Styles: Lewin (Auto, Demo, Laissez) + Transactional, Transformational, Servant, Charismatic
- Bass 4 I's: **Influence, Inspiration, Intellect, Individual care**
- Kotter 8 steps; Lewin **Unfreeze-Change-Refreeze**

## 2-mark questions

1. Define corporate culture (any two authors).
2. What are artifacts? Give examples.
3. Differentiate strong and weak culture.
4. What is market-driven culture?
5. List the four I's of transformational leadership.
6. What is a culture audit?
7. Name Lewin's three leadership styles.

## 5-mark questions

1. Explain nature and significance of corporate culture.
2. Explain Schein's three levels with an iceberg diagram.
3. Describe hierarchical culture with merits and demerits.
4. Compare transformational and transactional leadership.
5. Explain Lewin's three-step model of change.
6. How do founders and selection sustain culture?

## 10-mark questions

1. Explain key elements of corporate culture (values, norms, rituals, symbols, language) with examples.
2. Discuss Cameron & Quinn's Competing Values Framework with a diagram; add Deal & Kennedy types.
3. Analyse the relationship between leadership styles and corporate culture; explain Schein's embedding mechanisms.
4. Explain transformational leadership and Kotter's 8-step model for culture change, with examples (Nadella, Tata).
5. What is a culture clash in mergers? Discuss with DaimlerChrysler and suggest remedies.

# UNIT IV – Legal Framework

23A52701a BUSINESS ETHICS & CORPORATE GOVERNANCE | JNTUA R23

B.Tech – Exam Notes

## I. Law and Ethics

**Law** = body of rules made & enforced by the State, binding on all; breach → punishment. **Ethics** = moral principles of right/wrong that guide conduct; breach → guilt, disapproval.

### Need for law in business

- Protects **consumers, investors, employees, environment** from exploitation
- Ethics is voluntary → some firms ignore it → law gives **force**
- Ensures **fair competition** & level playing field
- Gives certainty: contracts, property, dispute settlement
- Deterrence: penalty, jail, disqualification
- Builds public trust in markets → investment & growth

### Law vs Ethics

| Basis | Law | Ethics |
|---|---|---|
| Source | Legislature, courts | Conscience, culture, religion |
| Nature | Written, codified, definite | Unwritten, flexible, subjective |
| Sanction | Fine, jail, penalty | Guilt, social/moral censure |
| Enforced by | Courts, regulators | Self, society, peers |
| Scope | Minimum standard of conduct | Higher standard – beyond law |
| Varies with | Country / time (amended) | Person, culture, situation |
| Focus | Actions (what you did) | Intentions + actions |

| | LEGAL | ILLEGAL |
|---|---|---|
| ETHICAL | **Legal + Ethical**<br>Pay taxes honestly, safe products, CSR | **Ethical but Illegal**<br>Whistle-blowing breaching contract; civil disobedience |
| UNETHICAL | **Legal but Unethical**<br>Tax avoidance loopholes, pushing junk food to kids | **Illegal + Unethical**<br>Insider trading, bribery, Satyam accounts fraud |

Fig 1: Law–Ethics overlap matrix (4 cases)

★ Important

- Law = **minimum**; ethics = **maximum** ("law is the floor, ethics the ceiling")
- Legal ≠ always ethical; ethical ≠ always legal

## 2. Agencies Enforcing Ethical Business Behaviour

| Agency | Role in ethical conduct |
|---|---|
| SEBI (1988; statutory 1992) | Regulates securities market; insider trading, fraud, disclosures |
| RBI (1935) | Banks/NBFCs, monetary policy, KYC, fair practices, forex (FEMA) |
| CCI (2003/09) | Competition Act – cartels, abuse of dominance, combinations |
| MCA / ROC | Administers Companies Act; registration, filings, inspection |
| NCLT / NCLAT (2016) | Company disputes, oppression, mismanagement, insolvency; appeal |
| SFIO (2003; S.211) | Investigates complex corporate frauds (multi-disciplinary) |
| ED | Enforces FEMA & PMLA – money laundering, forex violation |
| CBI / CVC | CBI: corruption & economic crime probe; CVC: vigilance in public sector |
| Consumer Commissions, CCPA | District/State/National redressal; CCPA (2020) – unfair trade, ads, recalls |
| ICAI / NFRA | ICAI: audit ethics, discipline; NFRA (S.132): audit quality oversight |
| CPCB / SPCBs, NGT | Pollution norms, consent to operate; NGT – green court (2010) |
| Stock Exchanges (BSE/NSE) | Listing compliance, surveillance, penalise non-disclosure |
| Lokpal / Lokayuktas (2013 Act) | Inquire corruption by public servants (incl. NGOs/firms linked) |
| ASCI (1985) – self-regulatory | Code for ethical advertising; handles misleading-ad complaints |

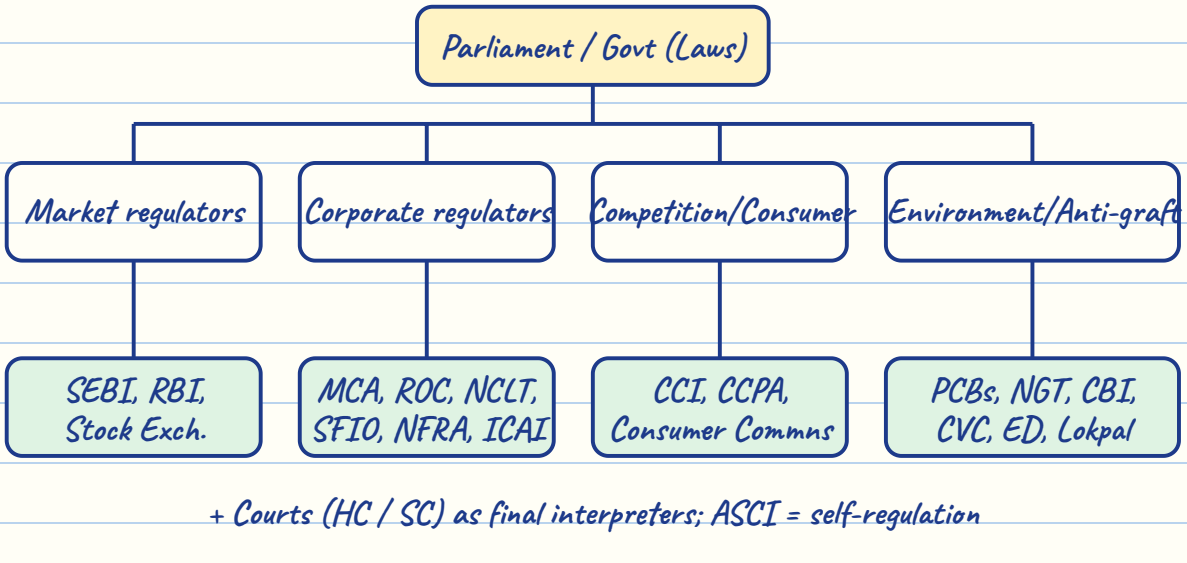



Fig 2: Legal & regulatory ecosystem in India

## 3. Legal Impact of Unethical Behaviour

- **Penalties & fines** – e.g. cartel: up to 3× profit or 10% turnover (Competition Act)
- **Imprisonment** – fraud S.447 Cos Act: 6 months – 10 yrs; insider trading; PMLA
- **Disqualification** of directors (S.164), debarment by SEBI, licence cancellation
- **Compensation / damages** – consumer cases, class-action suits (S.245)
- **Product recall, ban**, attachment of assets, winding up
- **Reputation damage** → share price crash, loss of customers, investors, talent
- **Cost of litigation** + management time; loss of credit rating

**Case – Satyam (2009):** chairman B. Ramalinga Raju confessed to inflating cash/profits ≈ ₹7,000 cr → arrest, jail, SEBI ban & penalty, auditor PwC penalised, firm sold to Tech Mahindra. **Enron (2001, USA)** → Arthur Andersen collapsed → SOX 2002.

## 4. Environmental Protection Laws

**Why?** Industry pollutes air, water, soil; Constitution: **Art 21** (right to clean environment), **Art 48A** (State), **Art 51A(g)** (citizen duty).

| Law | Key purpose |
|---|---|
| **Environment (Protection) Act, 1986** | Umbrella Act (post-Bhopal); central govt powers, standards, EIA, hazardous substances; penalty / jail |
| **Water Act, 1974** | Prevent water pollution; CPCB/SPCB; consent to establish/operate |
| **Air Act, 1981** | Prevent, control air pollution; emission standards; air-pollution control areas |
| **Wildlife Protection Act, 1972** | Protect species, sanctuaries, national parks; ban trade |
| **Forest Conservation Act, 1980** | Prior central approval to divert forest land for non-forest use |
| **NGT Act, 2010** | Fast-track environmental disputes; "polluter pays", relief & compensation |
| **Hazardous Waste Rules** (under EPA) | Safe handling, storage, transport, disposal; authorisation required |

### Key principles & tools

- **Polluter Pays** – polluter bears cost of damage & restoration (Indian Council for Enviro-Legal Action v UOI; Vellore Citizens 1996)

- **Precautionary principle** – lack of scientific certainty is no excuse to delay prevention
- **Absolute liability** – M.C. Mehta v UOI (Oleum gas leak, 1986) – hazardous industry fully liable
- **Sustainable development** – meet present needs without harming future
- **EIA** (Environmental Impact Assessment) – mandatory study before big projects
- **EPR** (Extended Producer Responsibility) – producer responsible for plastic / e-waste / battery end-of-life
- **ISO 14001** – international standard for Environmental Management System (EMS)




then: Consent to Establish → Consent to Operate (SPCB) → monitoring

Fig 3: Environmental clearance process (EIA)

### Corporate responsibility

- Install ETP/STP, cut emissions, **3R** (Reduce-Reuse-Recycle), green audit
- Obtain consents, file returns, disclose in **BRSR** (SEBI) & CSR spend
- Penalty: fine + jail (EPA: up to 5 yrs), closure notice, NGT compensation

**Bhopal (2–3 Dec 1984):** Union Carbide pesticide plant leaked **MIC** gas → thousands died; weak safety, cost-cutting. Led to **EPA 1986**, Public Liability Insurance Act 1991; settlement US$470 m (1989).
**Vizag (7 May 2020):** **LG Polymers** styrene gas leak, 12 deaths; NGT ordered ₹50 cr deposit; plant lacked environmental clearance & safety restart protocols.

## 5. Fair Trade Practices

### (a) Competition Act, 2002

- Replaced **MRTP Act 1969** (focused on curbing monopoly size; repealed 2009) → new focus on **promoting competition**
- Regulator: **CCI** (Competition Commission of India); appeals → NCLAT

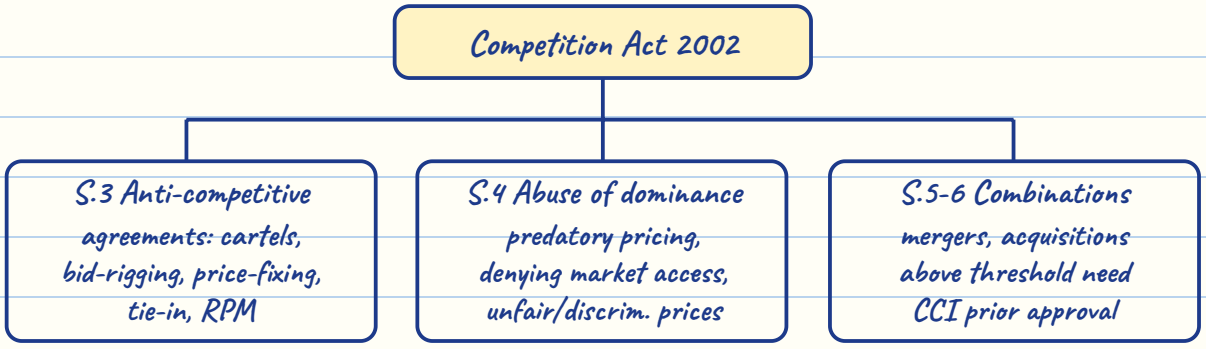



Fig 4: Three pillars of the Competition Act

- Penalty: up to **10% of avg turnover** (last 3 yrs); cartels: up to 3× profit or 10% turnover; leniency plus for whistle-blowing cartel members
- Eg: CCI vs cement cartel; CCI penalised Google (Android, 2022) & Amazon/Flipkart probes

## (b) Unfair Trade Practices (UTP)

| Practice | Meaning / example |
|---|---|
| Misleading ads | False claims on quality, results – "100% cure", fake endorsements |
| False sales claims | Fake "70% off", inflated MRP, false "limited stock" |
| Bait & switch | Advertise cheap product, then push costlier one |
| Hoarding | Stocking goods to create shortage / raise price (Essential Commodities Act 1955) |
| Black marketing | Selling above MRP / in secret, e.g. medicines, tickets |
| Adulteration, spurious goods | Mixing/fake brand, short weight & measures |
| Dark patterns (e-com) | Fake urgency, hidden charges, drip pricing |

## (c) Consumer Protection Act, 2019 (replaced 1986 Act)

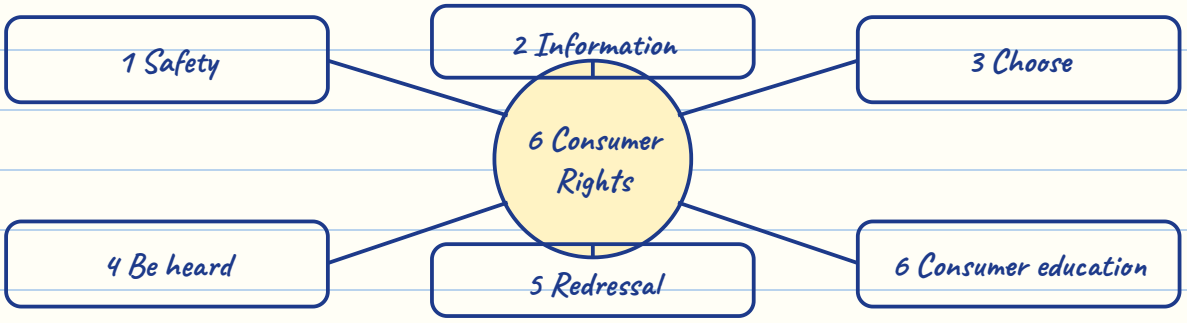



Fig 5: Six consumer rights (CPA 2019, S.2(9))

- **CCPA** (Central Consumer Protection Authority, July 2020): class action, recall unsafe goods, penalty on misleading ads – up to ₹10 lakh (repeat ₹50 lakh); endorser ban 1 yr (repeat 3 yrs)
- **Three-tier commissions**: District, State, National (NCDRC) – by value of claim; **mediation** cells added

- **Product liability** (Ch. VI): manufacturer, seller, service provider liable for defect/deficiency → compensation
- **E-Commerce Rules 2020**: display seller details, country of origin, no unfair price manipulation, grievance officer, return/refund terms
- Covers e-commerce, teleshopping, direct selling; "unfair contract" & **celebrity endorser** liability

### (d) Other fair-trade laws

| Law | Purpose |
|---|---|
| Sale of Goods Act, 1930 | Contract of sale; implied conditions & warranties (title, quality, fitness) |
| Legal Metrology Act, 2009 | Correct weights/measures; packaged-goods labelling (MRP, net qty) |
| BIS Act 2016 / ISI, Hallmark | Standards, certification, quality marking |
| Right to Information Act, 2005 | Citizens access public-authority info → transparency, accountability |
| Essential Commodities Act 1955 | Control supply/price of essentials; anti-hoarding |

## 6. Legal Compliances

**Compliance** = adhering to all laws, rules, regulations & internal policies applicable to business. Non-compliance → penalty, prosecution, loss of goodwill.

- **Registration**: Companies Act/LLP Act (ROC), PAN/TAN, GST, Shops & Establishment, MSME (Udyam)
- **Annual filings**: AOC-4 (financials), MGT-7 (annual return), board meetings, AGM, auditor appointment, DIR-3 KYC
- **Tax**: Income Tax (advance tax, TDS, ITR), **GST** (GSTR-1, 3B, annual) – on time
- **Labour**: 4 **Labour Codes** (Wages, Industrial Relations, Social Security, OSH); **PF** (EPF Act) & **ESI** contributions
- **POSH Act 2013**: Internal Committee (≥10 employees), annual report, awareness
- **Data protection**: **DPDP Act 2023** – consent, purpose limitation, Data Fiduciary duties, breach notice, Data Protection Board; penalty up to ₹250 cr
- **Sector**: SEBI LODR, FSSAI, pollution consents, trade licences, IP

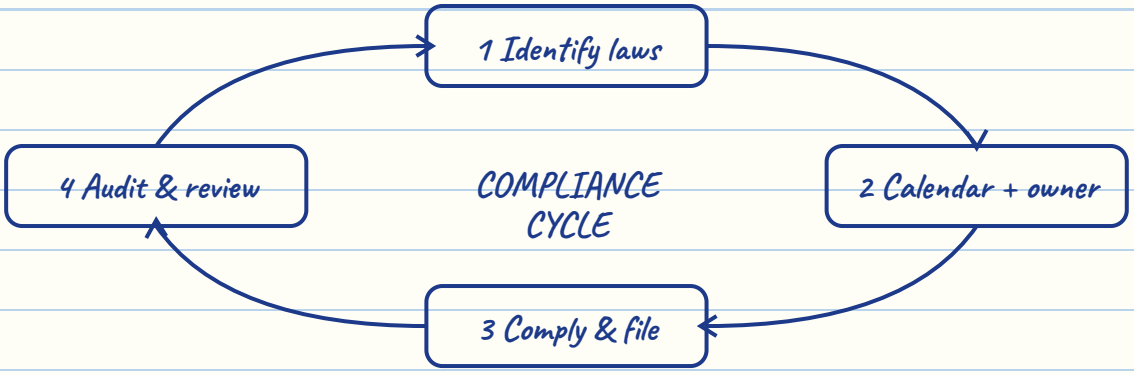



Fig 6: Compliance management cycle

- **Compliance calendar** – list of due dates + responsible person + penalty for delay
- **Compliance audit** – internal/secretarial audit (S.204: MR-3 for listed cos) checks adherence, gaps, remedial action
- **Checklist tip**: Register → Tax → Labour → Environment → Data → Disclosure → Audit

## 7. Safeguarding Health & Well-being of Customers

| Law / body | Protection offered |
|---|---|
| **Food Safety & Standards Act 2006 – FSSAI** | Single food law; licence/registration; standards, labelling, recall; adulteration penalties |
| **Drugs & Cosmetics Act 1940** | Control import, manufacture, sale of drugs; CDSCO; ban spurious/sub-standard |
| **Consumer Protection Act** | Right to safety, product liability, recall via CCPA |
| **BIS** (ISI, Hallmark) | Mandatory quality marks for electricals, toys, helmets, cement |
| **COTPA 2003** | Tobacco: ban public smoking, ads; pictorial warnings; no sale to minors / near schools |
| Legal Metrology, Warranty | Honest quantity; warranty/guarantee honoured; **recall** of defective goods |

- **Ethical advertising**: truthful, no exploitation of children, no false health claims – ASCI code, CPA 2019, Drugs & Magic Remedies Act 1954
- Duty: safe design, testing, clear labels (ingredients, expiry, allergens), after-sales support
- Examples: car airbag/defect recalls; ban on harmful food colours; Johnson & Johnson Tylenol recall (1982) – global ethics model

**Maggi case (2015):** FSSAI found excess **lead** & undeclared **MSG** in Nestlé Maggi noodles → nationwide ban, ~38,000 tonnes destroyed; govt filed ₹640 cr claim at NCDRC; Bombay HC (Aug 2015) set aside ban citing natural-justice lapses & lab issues; Maggi returned after re-testing. Lesson: **quality control, transparency, crisis response**.

## 8. Corporate Law – Companies Act, 2013

Replaced Companies Act 1956; administered by **MCA**; 29 chapters, ~470 sections. Aim: transparency, accountability, investor & stakeholder protection.

### Types of companies

- By liability: limited by shares / by guarantee / unlimited
- By members: **Private** (2–200), **Public** (min 7), **One Person Co. (OPC)**
- Others: Section 8 (non-profit), Govt co., Foreign co., Holding/Subsidiary, Listed

### Key features

| Provision | Detail |
|---|---|
| Board | Min 3 directors (public), 2 (private), 1 (OPC); max 15 (more by special resolution); ≥1 **woman** director for specified cos; resident director (182 days) |
| **S.166** Duties of directors | Act in good faith, due care/skill, **independent judgment**, avoid conflict of interest, no undue gain; breach → fine ≥₹1 lakh |
| **S.149** Independent directors | ≥ 1/3 of board for listed cos; code of conduct (Sch IV); no pecuniary tie |
| **S.177** Audit committee | Min 3 directors, majority independent; reviews financials, auditors, RPTs, internal control |
| **S.177(9)** Vigil mechanism | Whistle-blower channel for listed/prescribed cos; protects against victimisation |
| **S.135** CSR | Net worth ≥₹500 cr / turnover ≥₹1000 cr / profit ≥₹5 cr → CSR committee, spend **2%** of avg net profit (3 yrs); Sch VII activities |
| **S.188** Related-party txns | Board / shareholder approval, arm's-length; disclosure |
| **S.447** Fraud | Jail 6 months – 10 yrs; fine 1–3× amount involved |
| **S.245** Class action | Members/depositors sue for oppressive acts (first of its kind in India) |
| Others | NFRA (S.132), SFIO (S.211), auditor rotation (S.139), NCLT (S.408), e-filing, secretarial audit |

### LLP Act, 2008

- **LLP** = hybrid: separate legal entity + **limited liability** of partners + partnership flexibility
- Min 2 partners, 2 designated partners; no max; no minimum capital; lighter compliance; reg. with ROC

## 9. Securities & Financial Regulations

| Law | Year | Purpose / key point |
|---|---|---|
| Securities Contracts (Regulation) Act | 1956 | Regulates stock exchanges, listing, contracts in securities |
| **SEBI Act** | 1992 | Protect investors, develop & regulate market; SEBI powers (quasi-legislative, judicial, executive); appeal → SAT |
| Depositories Act | 1996 | Demat – paperless holding (NSDL, CDSL) |
| **SEBI (LODR) Regs** | 2015 | Listing obligations; replaced Clause 49; board composition, disclosures, committees |
| **SEBI (PIT) Regs** | 2015 | Prohibit insider trading; UPSI, trading window, code of conduct |
| SEBI Takeover Code (SAST) | 2011 | Open offer on 25% acquisition – protects minority |
| **FEMA** | 1999 | Replaced FERA 1973; manages forex – civil, not criminal; RBI/ED |
| Banking Regulation Act | 1949 | Licensing, supervision of banks; RBI powers |
| **PMLA** | 2002 | Prevent money laundering; attach proceeds of crime; ED, reporting entities (FIU-IND) |
| **IBC** | 2016 | Time-bound insolvency resolution (CIRP 330 days); NCLT, IBBI, creditors' committee |
| Prevention of Corruption Act | 1988 | Bribery of public servants; 2018 amendment: giving bribe & corporate liability offence |

### Global

- **Sarbanes-Oxley Act 2002 (SOX, USA)** after Enron/WorldCom: CEO/CFO certify accounts (S.302), internal controls (S.404), PCAOB, whistle-blower protection, jail for fraud
- **Dodd-Frank Act 2010 (USA)** after 2008 crisis: Consumer Financial Protection Bureau, Volcker rule, say-on-pay, whistle-blower rewards

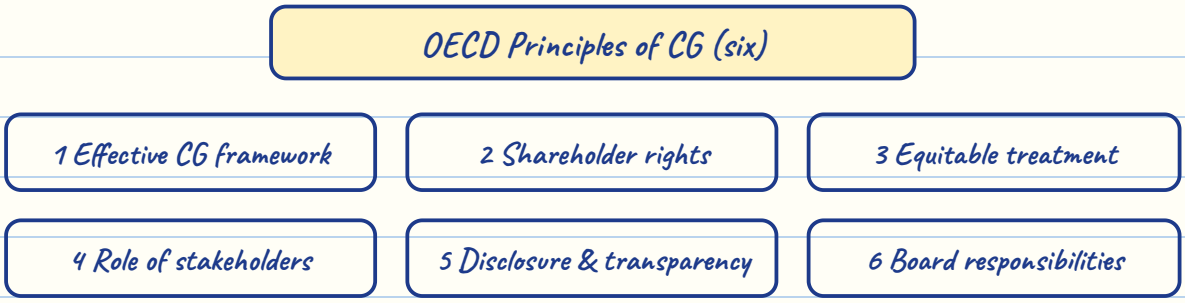
## 10. Corporate Governance Codes & Principles

**Corporate governance (CG)** = system by which companies are directed & controlled; balances interests of shareholders, management, board & stakeholders.

## Four core principles (mnemonic: FTAR)

- **Fairness** – equal treatment of all shareholders incl. minority
- **Transparency** – timely, accurate disclosure
- **Accountability** – board answerable to shareholders
- **Responsibility** – towards law, society, environment, stakeholders

## OECD Principles (1999; revised 2004; G20/OECD 2015)




(2015 version: adds institutional investors & markets; merges 2+3)
Non-binding, global benchmark for law & code makers

Fig 7: OECD six principles

## Codes – timeline

| Code / committee | Year | Highlights |
|---|---|---|
| Cadbury (UK) | 1992 | Board, audit cttee, separate chair & CEO; "comply or explain" |
| CII Code (India) | 1998 | First voluntary code of corporate governance |
| Kumar Mangalam Birla Cttee → **Clause 49** | 1999/2000 | SEBI: board composition, audit cttee, disclosures |
| Naresh Chandra / Narayana Murthy | 2002 / 2003 | Audit, auditor independence, whistle-blower, Clause 49 revised |
| Companies Act 2013 → **LODR 2015** | 2013/15 | Statutory CG; independent dirs, RPT, vigil, CSR |
| Uday Kotak Cttee | 2017 | Board effectiveness; separate chair/MD; more independence |
| UK Corporate Governance Code (FRC) | 2010, 2018, 2024 | Principles-based: leadership, purpose, remuneration, "comply or explain" |

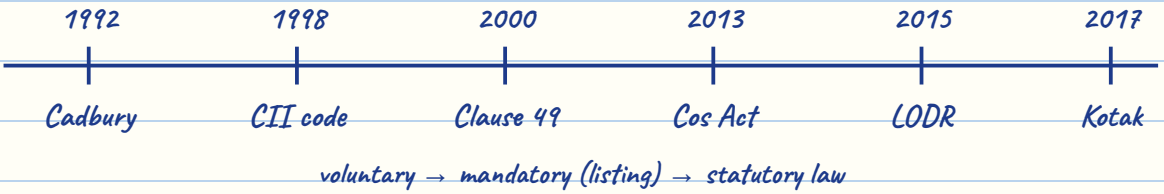



Fig 8: Evolution of CG codes (UK → India)

## 11. Law → Purpose → Year (one-glance table)

| Law | Purpose | Year |
|---|---|---|
| Wildlife Protection Act | Species & habitat | 1972 |
| Water Act / Air Act | Pollution control | 1974 / 1981 |
| Forest Conservation Act | Stop forest diversion | 1980 |
| Environment (Protection) Act | Umbrella env. law | 1986 |
| Sale of Goods Act | Sale contracts | 1930 |
| Drugs & Cosmetics Act | Drug quality | 1940 |
| SCRA / SEBI Act | Securities market | 1956 / 1992 |
| Prevention of Corruption Act | Anti-bribery | 1988 |
| FSS Act (FSSAI) | Food safety | 2006 |
| Competition Act | Fair competition | 2002 |
| PMLA / FEMA | Laundering / forex | 2002 / 1999 |
| RTI Act | Transparency | 2005 |
| Companies Act | Company law | 2013 |
| POSH Act | Workplace harassment | 2013 |
| IBC | Insolvency | 2016 |
| Consumer Protection Act | Consumer rights | 2019 |
| DPDP Act | Personal data | 2023 |
| NGT Act / LLP Act | Green court / LLP | 2010 / 2008 |

## 12. Quick Revision & Likely Exam Questions

★ Important

- Law = minimum, enforced by State; Ethics = higher, voluntary
- Polluter pays + Precautionary = core env. principles; Bhopal → EPA 1986
- Competition Act 2002: S.3 agreements, S.4 dominance, S.5–6 combinations
- CPA 2019: 6 rights, CCPA, product liability, e-commerce rules
- Co Act 2013: S.135 CSR, S.149 ID, S.166 duties, S.177 audit/vigil, S.188 RPT, S.447 fraud, S.245 class action
- OECD: 6 principles; CG: Clause 49 (2000) → LODR 2015; SOX 2002

## 2-mark questions

1. Define business ethics vs law.
2. What is polluter pays principle?
3. List six consumer rights.
4. What is a cartel / abuse of dominance?
5. Full form: CCPA, NFRA, SFIO, EPR, DPDP.
6. What is a vigil mechanism (S.177)?
7. Name any four OECD principles.
8. What is bait-and-switch?

## 5-mark questions

1. Differentiate law and ethics with examples.
2. Role of SEBI and CCI in ethical business.
3. Explain unfair trade practices under consumer law.
4. Directors' duties under S.166.
5. Discuss the Maggi case and lessons.
6. Explain compliance calendar and audit.
7. Features of LLP; SOX Act 2002.

## 10-mark questions

1. Explain agencies enforcing ethical business behaviour in India with roles.
2. Discuss environmental protection laws; role of Bhopal & Vizag cases.
3. Explain Competition Act 2002 & Consumer Protection Act 2019 as fair-trade tools.
4. Key features of Companies Act 2013 for ethics & governance.
5. Discuss securities & financial regulations; CG codes & OECD principles.

**Mnemonic – CG principles: F-T-A-R** (Fairness, Transparency, Accountability, Responsibility). **Consumer rights:** "S-I-C-H-R-E" = Safety, Info, Choice, Heard, Redressal, Education.

# UNIT V – Corporate Governance

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech

## 1. Introduction & Meaning

- Company = separate legal person → run by **directors**, owned by **shareholders**
- **Separation of ownership & control** → managers may act for self → need for checks
- Scams (Enron, Satyam...) showed weak governance = value destroyed
- Governance = **rules, practices & processes** that direct & control a company

### Definitions

- **Cadbury Committee (UK, 1992):** **"system by which companies are directed and controlled"**
- **OECD:** set of relationships between management, board, shareholders & stakeholders; gives structure for objectives & monitoring
- **SEBI / Birla Cttee:** acceptance by management of shareholders' inalienable rights; enhancing long-term value

CG = Direction + Control + Accountability to stakeholders

### Need for Corporate Governance

- Protect **shareholders' & minority** interests
- Prevent frauds, insider trading, misuse of power
- Attract **investors** (FII/FDI), lower cost of capital
- Globalisation → listing abroad needs global standards
- Ensure ethical conduct & social responsibility
- Sustainable growth, better risk management

## 2. Principles & Pillars

- **Fairness** → equal treatment of all shareholders incl. minority
- **Transparency** → timely, accurate disclosure of facts
- **Accountability** → board answerable to shareholders
- **Responsibility** → towards stakeholders, law, society
- Mnemonic: **F-T-A-R** (Fair, Transparent, Accountable, Responsible)

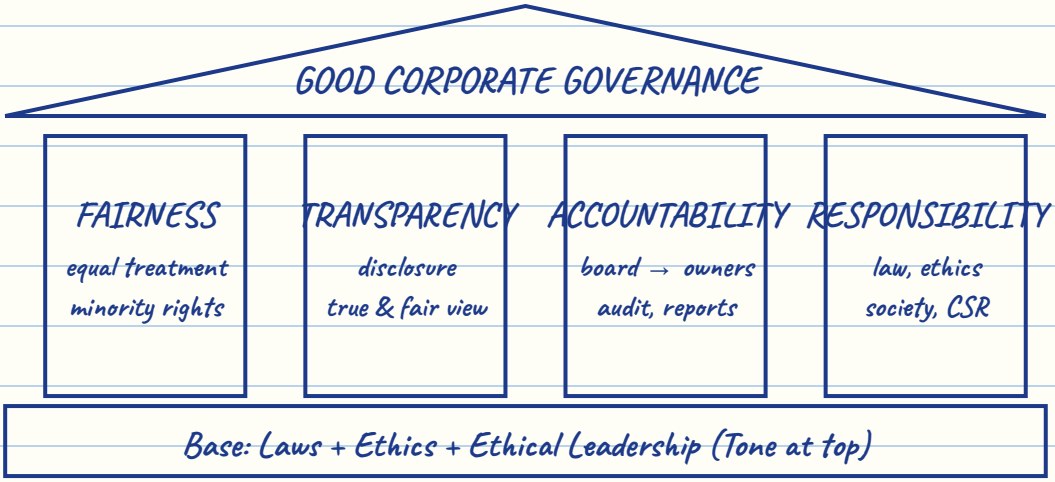



Fig 1: Principles / pillars of corporate governance

## Theories of Corporate Governance (brief)

| Theory | Idea | Implication |
|---|---|---|
| **Agency** (Jensen & Meckling) | Owner = principal, manager = agent; interests conflict | Monitoring, audit, incentives (ESOPs), independent directors |
| **Stewardship** (Donaldson & Davis) | Managers are trustworthy stewards of firm | Empower management; CEO-chair combined acceptable |
| **Stakeholder** (Freeman) | Firm owes duty to all groups, not only owners | CSR, employee/customer/community interest |

## Parties in Corporate Governance

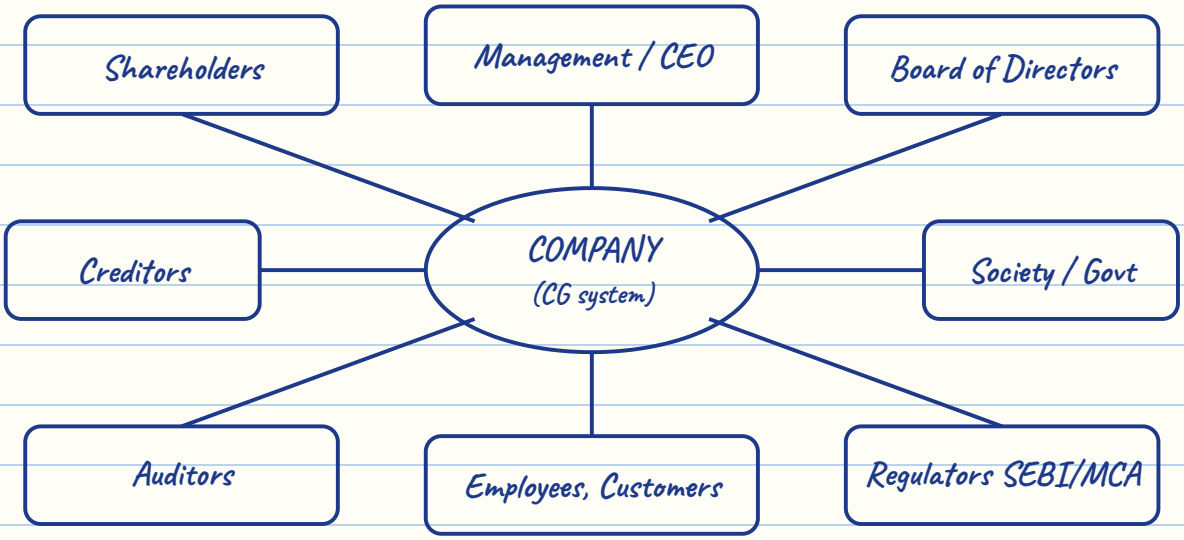



Fig 2: Parties / participants in corporate governance

# 3. Corporate Governance Code & Framework in India

➤ India = **mandatory + voluntary** mix, unlike UK "comply or explain"

- Sources: Companies Act 2013, SEBI Act 1992, SEBI LODR 2015, Ind AS, Secretarial Standards (SS-1, SS-2)

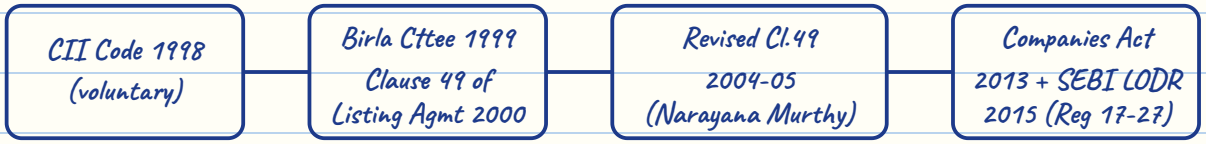



Fig 3: Evolution of India's corporate governance code

- **Clause 49** (2000): board composition, audit committee, CG report, CEO/CFO certification
- Replaced by **SEBI (LODR) Regulations 2015** – effective 1 Dec 2015
- **Companies Act 2013**: s.149 independent directors, s.177 audit cttee, s.178 NRC, s.135 CSR, s.188 related-party, s.177(9) vigil mechanism

## 4. Transparency & Disclosure

- **Transparency** = openness in decisions; **Disclosure** = making info public (what, when, how)
- Helps investors decide, deters fraud, builds trust

| Disclosure tool | Content |
|---|---|
| **Annual Report** | Board's report, financials, auditor's report, notes |
| **MD&A** | Management Discussion & Analysis: industry, outlook, risks, opportunities |
| **CG Report** | Board, committees, meetings, remuneration, compliance (LODR) |
| **Related-party** | Transactions with promoters/subsidiaries; approval by audit cttee & shareholders |
| **Financial** | Quarterly results (within 45 days), audited annual results |
| **XBRL** | Electronic tagged filing of financials with MCA / stock exchanges |
| **Insider info** | UPSI & trading window: SEBI (PIT) Regulations 2015 |
| **Website** | Policies, shareholding pattern, board details, investor contacts |

★ Important

- Price-sensitive events → disclose promptly to exchanges (Reg 30 LODR)
- BRSR = non-financial disclosure on ESG (top 1000 listed cos)
- Satyam shows: no real disclosure = collapse

## 5. Role of Auditors

- Auditor = **watchdog** of shareholders; certifies "true & fair view"

| Type | Role / Law |
|---|---|
| **Statutory** | Independent audit of financials, s.139-143; appointed by shareholders at AGM |
| **Internal** | Checks controls & risk, reports to audit cttee (s.138) |
| **Cost** | Cost records of specified industries, s.148 |
| **Secretarial** | Compliance with corporate laws, s.204 (listed & large cos) |

### Auditor Independence – key safeguards

- **Rotation** (s.139): individual 5 yrs, firm 10 yrs (two terms of 5) for listed cos; **cooling-off** 5 yrs
- **Non-audit services barred** (s.144): accounting, internal audit, investment advice, etc.
- **Auditor's report** (s.143): opinion + **CARO 2020** (fixed assets, loans, fraud reporting)
- Auditor must report fraud to Central Govt (s.143(12))
- **NFRA** (2018, s.132): independent regulator for audit quality & discipline
- **ICAI**: professional body, sets Standards on Auditing

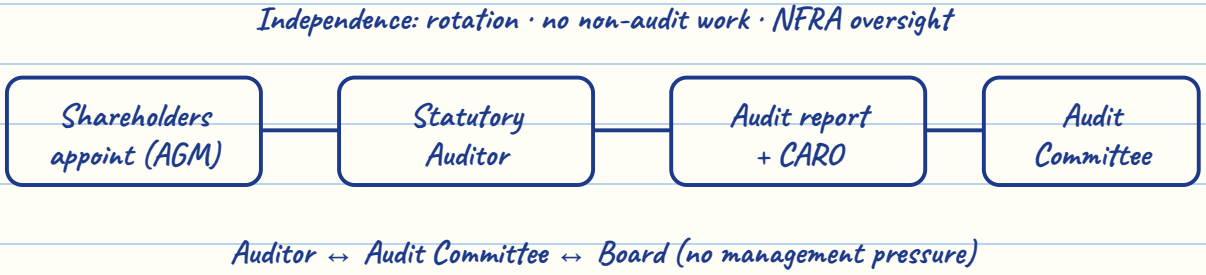



Fig 4: Audit chain and independence safeguards

### Audit Committee (s.177 / Reg 18)

- ≥3 directors; **two-thirds independent** (LODR), chair independent; majority independent (Act)
- Reviews financials, auditor appointment/fees, internal controls, related-party deals, whistle-blower

## 6. Board of Directors

- Board = **apex body**; trustee of shareholders; sets strategy, supervises management

- **Executive** (full-time, e.g., MD/WTD) / **Non-executive** (no day-to-day role) / **Independent** (no pecuniary link, s.149(6))

## Composition rules

- Listed co: ≥ **1/3 independent** directors (Companies Act)
- LODR Reg 17: ≥ 50% non-executive; if chairperson non-exec → ≥ 1/3 independent
- If chairperson is executive / promoter-related → **≥ 1/2 independent**
- **≥ 1 woman director**; top 1000 listed cos → ≥ 1 independent woman director
- Max 15 directors (more by special resolution); independent director term 5 yrs ×2 (max 10 yrs)
- Board meets ≥ 4 times a year, gap ≤ 120 days

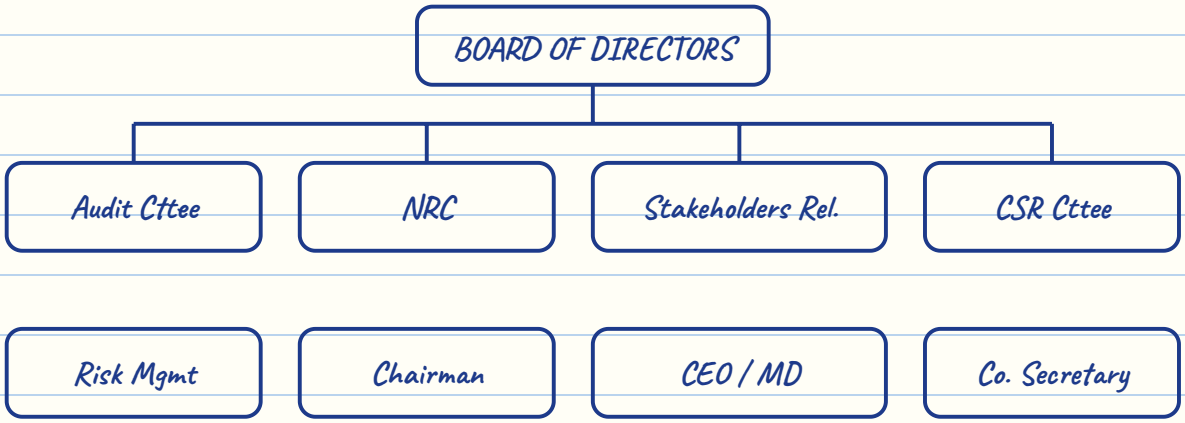



Fig 5: Board and its committees

| Committee | Key points |
|---|---|
| **Audit** | Financial reporting, internal control, auditors |
| **NRC** | Nomination & Remuneration: selects directors/KMP, pay policy, board evaluation (s.178); ≥ ½ independent |
| **Stakeholders Relationship** | Grievances of shareholders; chaired by non-exec director |
| **CSR** | 3+ directors incl. 1 independent; CSR policy (s.135) |
| **Risk Management** | Risk framework, cyber security (top 1000 listed cos) |

## Roles & duties (s.166)

- Act in good faith, due care, skill & diligence; avoid conflict of interest
- No undue gain; do not assign office; exercise independent judgment
- Strategy, policies, risk, appointing KMP, ensuring compliance
- **Separation of Chairman & CEO** → checks concentration of power (Cadbury; Kotak cttee)
- **Board diversity**: gender, skills, age, experience → better decisions

- **Board evaluation**: annual self-evaluation of board, committees, directors (s.134(3)(p)); independent directors meet once a year (Sch IV)

## 7. Shareholders

| Rights | Activism & protection |
|---|---|
| Vote at AGM, e-voting, proxy | **Shareholder activism**: voting against, questions, litigation |
| Dividends, transfer of shares | **Institutional investors** (MFs, LIC, FIIs) = strong monitors |
| Inspect records, get annual report | **Proxy advisors** (IiAS, SES, ISS): advise voting; SEBI-regulated since 2020 |
| Appoint auditors & directors | **Stewardship Code** (SEBI 2019) for MFs/AIFs/insurers |
| Approve major decisions (RPTs, mergers) | **Minority protection**: s.241-242 oppression & mismanagement (NCLT), class action s.245, small-shareholder director |

- **AGM**: once a year, within 6 months of FY end; notice 21 clear days
- **E-voting** (s.108): listed cos let shareholders vote remotely → wider participation
- Duty of shareholders: informed voting, not passive

## 8. Global Issues in Corporate Governance

- **Globalisation** → cross-listing, MNCs, capital flows need uniform standards
- **Convergence** of codes (OECD, UK, King, SOX) towards common principles
- **IFRS vs Ind AS**: Ind AS = India's converged standards (largely IFRS-aligned, with carve-outs); aids comparability
- **Cross-border scams**: Wirecard, Lehman → need for regulator cooperation (IOSCO)
- **ESG & sustainability**: climate, social, governance; BRSR (SEBI) mandatory for top 1000 listed cos
- **Board diversity** (gender, culture) – global push
- **Cyber risk** & data privacy → board responsibility
- Executive pay, activism, whistle-blowing, family/promoter control

## 9. Accounting & Regulatory Framework

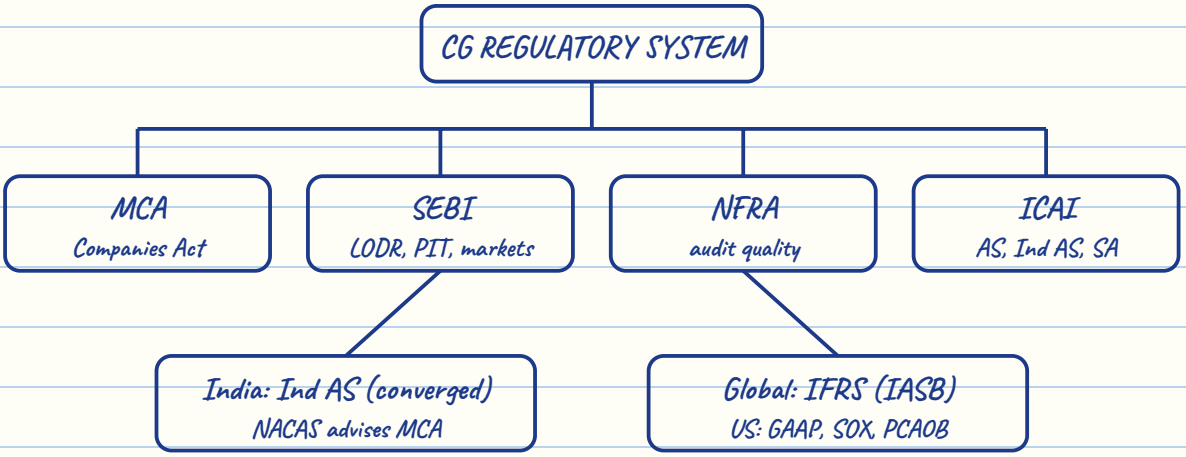



Fig 6: Accounting & regulatory framework

- **MCA** → Companies Act 2013, ROC, SFIO (fraud probe), NCLT
- **SEBI** → listed cos, LODR, insider trading, takeovers
- **ICAI** → accounting & auditing standards; **NFRA** → enforcement
- **SOX 2002 (USA)** → **PCAOB** oversees auditors of public companies
- **IFRS** by IASB → used in 140+ jurisdictions (approx.)

## 10. Corporate Scams – Case Table

| Case | What happened / why | Lesson |
|---|---|---|
| **Enron 2001** (USA) | Hid debt via SPEs, inflated profits; bankruptcy; auditor **Arthur Andersen** collapsed (shredding docs) | Auditor independence → SOX 2002 |
| **WorldCom 2002** | Line costs capitalised as assets; profits overstated by billions; CEO Ebbers jailed | Internal audit, CEO/CFO certification |
| **Lehman 2008** | Excess leverage; "Repo 105" to hide debt; largest US bankruptcy | Risk mgmt, Dodd-Frank 2010 |
| **Satyam 2009** | **B. Ramalinga Raju** confessed to ~Rs 7,000 cr fake cash/profits; auditor PwC faulted | Independent directors, audit, whistle-blower; NFRA idea |
| **Harshad Mehta 1992** | Bank-receipt (BR) & repo fraud used inter-bank funds in stocks; ~Rs 4,000-5,000 cr | SEBI given statutory powers (1992) |
| **Ketan Parekh 2001** | Price rigging "K-10" stocks, circular trades, bank funds | Surveillance, margin rules, carve-out of badla |
| **Kingfisher / Mallya** | Huge bank loans (~Rs 9,000 cr) defaulted; promoter fled | Lender due diligence; Fugitive Economic Offenders Act 2018 |
| **PNB–Nirav Modi 2018** | Fraudulent LoUs via SWIFT; ~Rs 11,000+ cr; weak bank controls | Bank internal control, auditor/CBS checks |
| **IL&FS 2018** | Debt defaults (~Rs 90,000 cr); poor board oversight, rating & audit lapses; govt superseded board | NBFC governance, auditor accountability |
| **Tata–Mistry 2016** | Chairman Cyrus Mistry removed; promoter vs board power; SC ruled for Tata (2021) | Promoter-board relation, minority rights |
| **Carillion 2018 / Wirecard 2020** | UK builder aggressive accounting; German fintech missing ~€1.9 bn | Auditor scrutiny, regulator failure |

★ *Important*

- Common causes: greed, weak board, auditor failure, promoter dominance, no whistle-blowing
- Mnemonic: **E-W-L-S** = Enron, WorldCom, Lehman, Satyam

## II. Committees on Corporate Governance

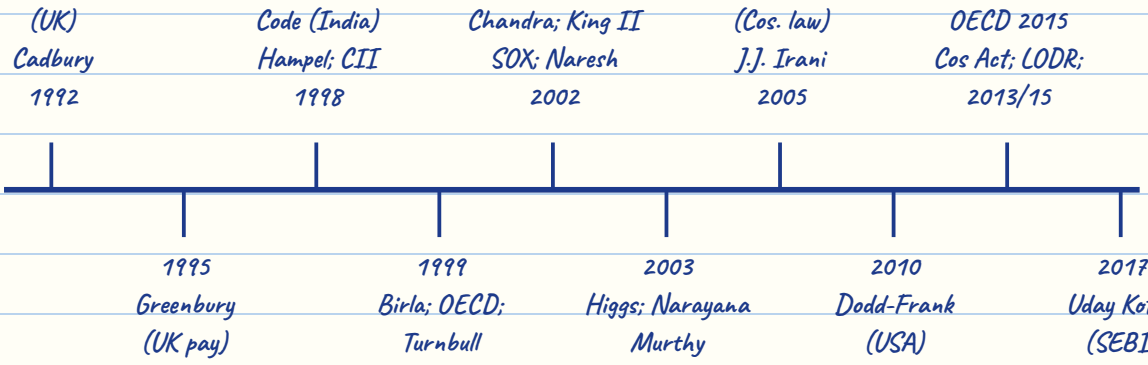



Fig 7: Timeline of major committees & codes

## Indian Committees

| Committee (Year) | Chair / Body | Key recommendations |
|---|---|---|
| **CII Code** (1998) | Rahul Bajaj; CII | First voluntary code: ≥⅓ non-exec directors, audit cttee, info to board, limit on directorships |
| **Kumar Mangalam Birla** (1999) | SEBI | Mandatory/non-mandatory recs; ≥ ½ non-exec; audit cttee (3 non-exec); CG report → **Clause 49 (2000)** |
| **Naresh Chandra** (2002) | Dept of Company Affairs | Auditor-company relationship, rotation of audit partners, disqualification of auditors, board & audit cttee roles |
| **Narayana Murthy** (2003) | SEBI | Audit cttee strengthening, whistle-blower policy, related-party disclosure, risk reporting, training of directors → revised Cl.49 |
| **J.J. Irani** (2005) | Ministry of Corporate Affairs | Overhaul of company law: simpler law, independent directors, shareholders' democracy → **Companies Act 2013** |
| **Uday Kotak** (2017) | SEBI | Min 6 directors in top-500 cos; independent woman director; separate chairman & CEO; board evaluation; stronger ID role; RPT curbs; shareholder voting |

# Committees & Laws Abroad

## Cadbury Committee, UK (1992)

- Chair: **Sir Adrian Cadbury**; formed after Polly Peck, BCCI, Maxwell scandals
- Report: Financial Aspects of Corporate Governance + Code of Best Practice
- **Separate Chairman & CEO** roles
- Min 3 **non-executive directors** (mostly independent)
- Formation of **audit, nomination, remuneration committees**
- Directors' report on internal control & going concern
- **"Comply or explain"** – listed cos disclose compliance

| Report / Law | Focus |
|---|---|
| **Greenbury** 1995 (UK) | Directors' remuneration: remuneration cttee of NEDs, disclose pay |
| **Hampel** 1998 / **Combined Code** | Review of Cadbury & Greenbury; principles over rules; merged into Combined Code (1998) |
| **Turnbull** 1999 | Internal control & risk guidance for directors |
| **Higgs** 2003 (+Smith) | Role of NEDs (half board independent); Smith = audit committees |
| **UK CG Code** | Issued by FRC (renamed 2010; updated 2018, 2024); comply or explain |
| **OECD Principles** 1999, 2004, 2015 | Shareholder rights, equitable treatment, stakeholders, disclosure, board responsibilities (G20/OECD 2015) |
| **King Reports** (S. Africa) | King I 1994, II 2002, III 2009, IV 2016 (Mervyn King); inclusive stakeholder approach; "apply and explain" (IV) |
| **Dodd-Frank** 2010 (USA) | Post-2008: say-on-pay, whistle-blower rewards, systemic risk, consumer protection |

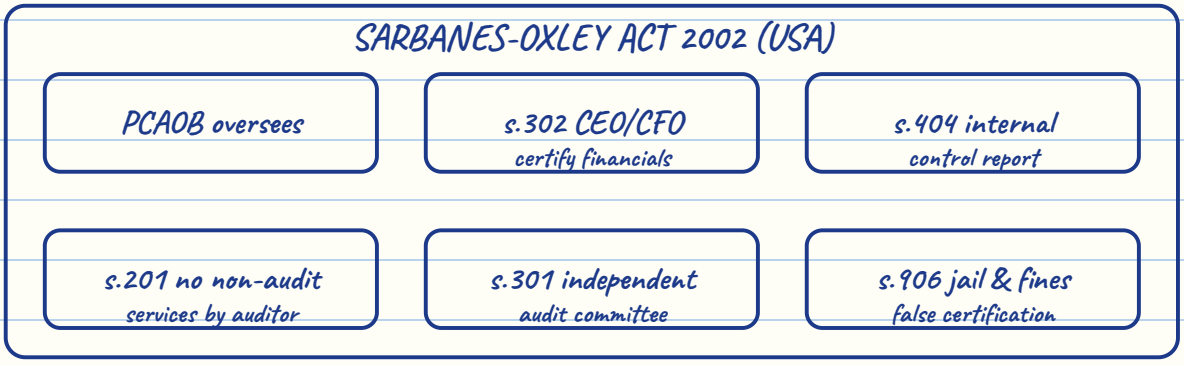



Fig 8: Key provisions of Sarbanes-Oxley Act 2002

- SOX also: lead audit partner rotation every 5 yrs; whistle-blower protection; PCAOB registers & inspects audit firms

## 12. Corporate Social Responsibility (CSR)

- **CSR** = business contributing to society beyond profit (triple bottom line: people, planet, profit)
- **Section 135 + Schedule VII**, Companies (CSR Policy) Rules 2014 (in force 1 Apr 2014)
- Applies if: net worth ≥ Rs 500 cr **or** turnover ≥ Rs 1000 cr **or** net profit ≥ Rs 5 cr
- **2% rule**: spend ≥ 2% of average net profit of preceding 3 years
- CSR committee (≥3 directors, ≥1 independent); board approves policy
- Areas: education, health, hunger, environment, rural dev, women empowerment
- Unspent amount → transferred to special account / fund (2021 amendment); disclosure in Board report
- Examples: Tata Trusts, Infosys Foundation, Reliance Foundation, Wipro

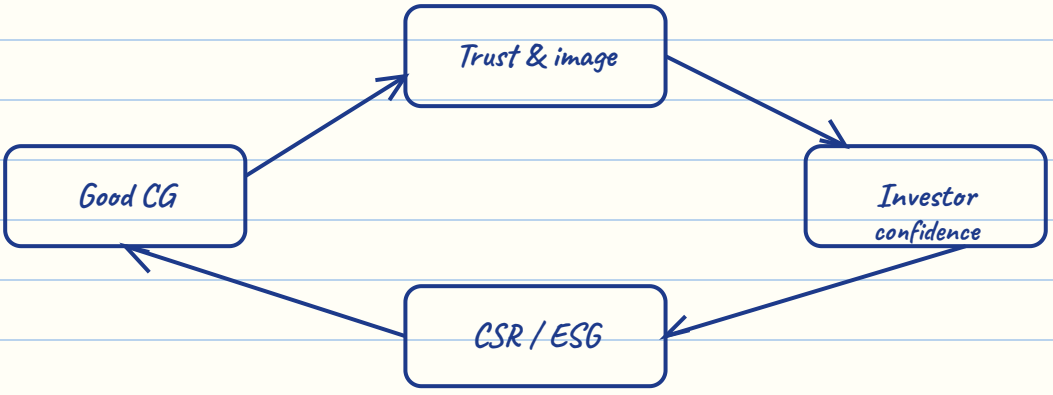



Fig 9: CSR – governance cycle (CG → CSR → reputation → capital → CG)

- CSR = **ethical face** of governance; board owns CSR; transparency in impact reporting

## 13. Benefits & Limitations

| Benefits | Limitations |
|---|---|
| Investor confidence ↑ | High compliance **cost** & time |
| Lower cost of capital | **Box-ticking** (form over substance) |
| Transparency & fewer frauds | **"One size fits all"** – burden on small cos |
| Better risk management | Cannot fully stop fraud (Satyam had ID's!) |
| Good reputation, brand | Independence of directors doubtful (promoter-picked) |
| Global market access (FPI, listing) | **Promoter dominance** in India's family firms |
| Long-term sustainability | Over-regulation may slow decisions |

## 14. Quick Revision & Likely Exam Questions

★ Important

**Remember**

- Cadbury 1992 = "directed & controlled"; comply or explain
- Birla 1999 → Clause 49 (2000) → LODR 2015
- Murthy 2003 / Naresh Chandra 2002 / Irani 2005 / Kotak 2017
- SOX 2002: s.302, s.404, PCAOB / Dodd-Frank 2010
- 1/3 independent; 1/2 if executive chair; ≥1 woman
- CSR: s.135, 2% of 3-yr avg profit / NFRA 2018

### 2-Mark Questions

1. Define corporate governance (Cadbury).
2. List the four principles of CG.
3. What is Clause 49?
4. Who is an independent director?
5. Expand NFRA, PCAOB, BRSR, MD&A.
6. What is "comply or explain"?
7. State the CSR spending rule under s.135.

### 5-Mark Questions

1. Explain principles / theories of corporate governance.
2. Discuss transparency & disclosure requirements.
3. Role of auditors; rotation & independence.
4. Board composition and committees under LODR.
5. Write short notes: Cadbury / Birla / Kotak / SOX.
6. Benefits and limitations of CG.

## 10-Mark Questions

1. Explain the evolution of corporate governance in India with committees & recommendations.
2. Discuss any three corporate scams (Enron, Satyam, PNB) – causes & lessons.
3. Roles of board, shareholders & auditors in effective governance; global issues.
4. Explain Cadbury, Greenbury, OECD, SOX & King reports.